

AXYS

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Quarterly Insights

July 2022

Growing Capital Sustainably

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Macroeconomic Outlook - Global

Macroeconomic Outlook - Global

Q2'22 financial flows witnessed a continuation of the trends that emerged at the start of the year. Inflationary pressures accelerated significantly over the last three months as supply constraints remained mostly in place. One key feature of inflation is that it can be a self-perpetuating phenomenon. Inflation feeds on inflation. Indeed, as economic agents come to expect price levels to rise in the future, they tend to adjust their behaviour accordingly. For example, consumers may be willing to spend more to get ahead of inflation while firms may be willing to raise wages to retain employees. Until the inflation shocks of the 1970's, the mandate of central banks was primarily to foster economic growth. However, the economic volatility induced by sustained periods of above-target inflation led to a major reshaping of central bank policy at the start of the 1980's. Price stability was also sought such that central banks now had a dual mandate of both controlling inflation around its target and promoting economic growth. It is often a fine balancing act for central bankers – this has been evident over the last few months when central bankers have had no other choice than to prioritise price stability at the expense of economic prosperity. Amid the aggressive monetary stance adopted by central banks, there is a growing concern that this might tip the global economy into a recession.

ASSET CLASS PERFORMANCE (IN USD)

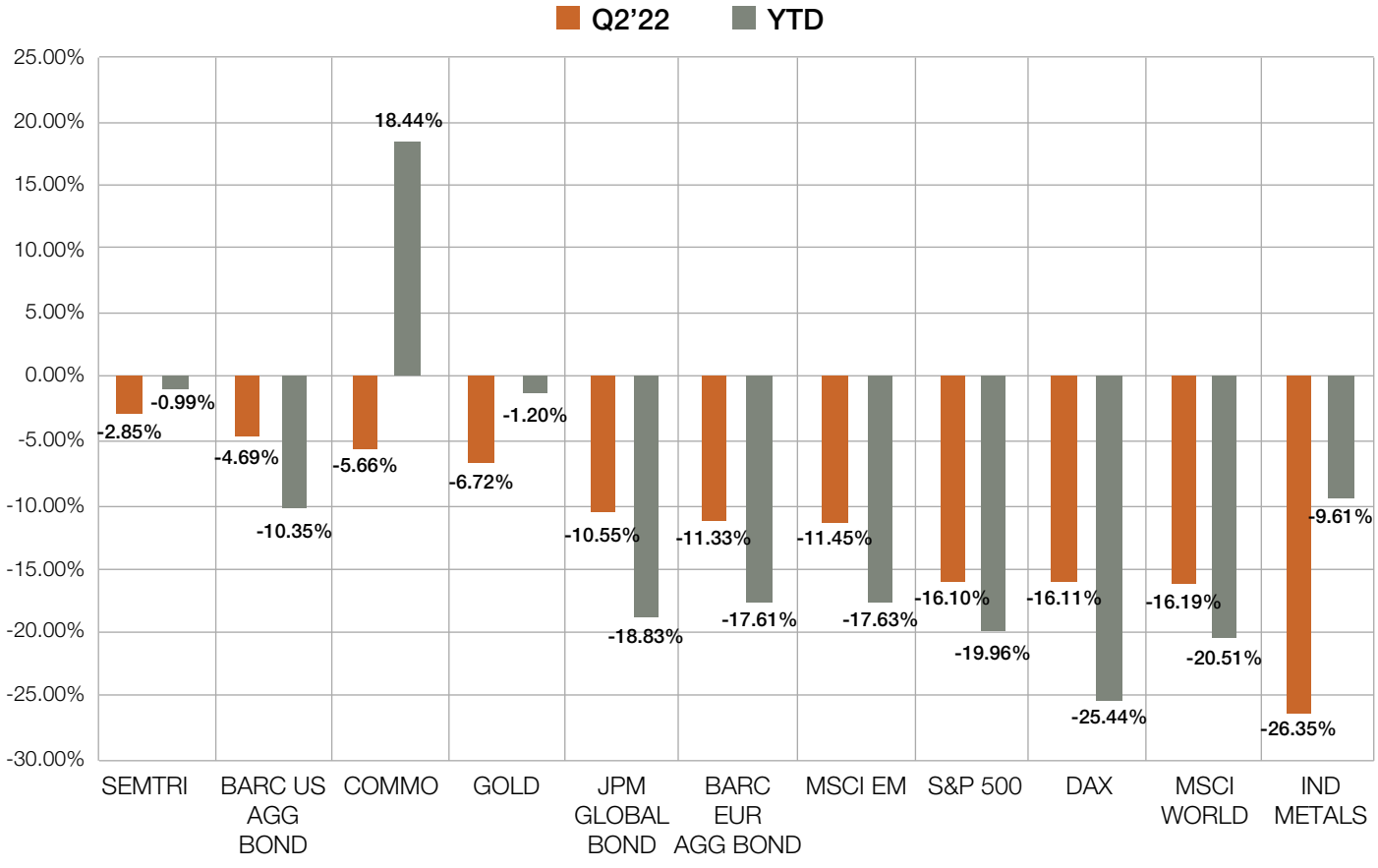


Chart 1 – Performance of Asset Classes since the start of the year



Macroeconomic Outlook - Global

The US Federal Reserve hiked the key interest rate in the United States by 125bps in Q2'22 as surging inflation forced its hand into acting decisively. Prior to the June meeting of the monetary policy committee of the Fed, a 75bps rate hike had been dismissed by Fed members as mere speculation. However, with May headline inflation surprising to the upside at 8.6% YoY, committee members were forced into delivering the first 75bps hike since 1994 in the US. This represented a major turnaround for a bank which only a few months earlier saw inflationary pressures as being transitory in nature. It then dawned on most in the investment community that the Fed was intent on putting up a credible fight against inflation even if it meant sacrificing short term growth. Financial markets reacted vigorously to this new paradigm – yields advanced furiously and the US2YR yield closed in on the key 3.0% threshold, closing the quarter slightly below at 2.95%. Since the start of the year, the US 2YR yield has risen by an eye-catching 222bps. Such magnitude is unheard of since 1984! Most asset classes retreated on the quarter as the prospect of significantly higher interest rates negatively impacted investor sentiment [See Chart 1]. The MSCI World Index retreated by 16.2% on the quarter and is down 20.5% YTD while the JP Morgan Global Bond Index fell by 10.6% over Q2'22 and is down 18.8% YTD. Interest sensitive growth sectors bore the brunt of the selloff in equities with investors notably rotating into value stocks. The MSCI World Value Index outperformed the MSCI World Growth Index by 9.8 percentage points. With the European Central Bank and Bank of Japan less intent on adopting the aggressive stance of the Federal Reserve, the US Dollar appreciated across the board – the EUR depreciated by 5.3% versus the US Dollar while the Japanese Yen retreated by 11.5% against the greenback.

Looking ahead, the path of inflation will continue to be the main driver for financial markets. Should inflation trends remain persistently high, central banks will have no choice but to increase interest rates higher to quell medium term inflation expectations. On the opposite, a reversal in the inflation trend will provide some relief to the markets in the hope that a hard landing for the global economy can be avoided. Of note, the rising fear of inflation has dimmed the outlook for many commodities, including industrial metals. The Bloomberg Industrial Metals Index fell by 26.6% over Q2'22 and is now cheaper than where it started the year at. This suggests that some of the main drivers of inflation may be abating, and that inflation is likely to peak before year end, ceteris paribus. It remains to be seen the magnitude of the economic drag that the economy will suffer as a result of the rapid rise in interest rate. The world has not been accustomed to relatively high interest rates over the past decennial and the severe contraction of monetary conditions can significantly impact the bottom line of companies and governments, and trigger snowballing conditions as we witnessed in the aftermath of the Great Financial Crisis.

In light of the above, we aim to maintain our general defensive mindset, with a particular focus on low volatility high quality stocks. From a tactical perspective, we see value in disruptive technological stocks which suffered heavily from the abrupt increase in yields. We also favour uncorrelated strategies in this uncertain environment. Equities have dominated the investment world over the Goldilocks period (medium growth, low inflation, supportive central banks). This state of affair is no more on the agenda with equity markets unlikely to repeat the healthy returns of the last few years. Instead, portfolios need to be reinforced and made more resilient. The investment team sees a lot of value in the fixed income markets where yields have reached levels not seen in years. With this in mind, the case for cherry picking debt issued by solid corporates/governments is appealing and we aim to lock in a segment of the strategies in these high yielding securities. Successfully navigating the coming months is crucial to deliver investment returns over the medium-term horizon, and we are confident our current approach to investing will do just that.

Asset Class Performance

Equities (in local currency)	Value	Q2'22	6 Months	12 Months
MSCI ALL COUNTRY WORLD INDEX	311	-15.66%	-20.18%	-15.75%
S&P 500	3,785	-16.11%	-4.60%	-10.64%
NASDAQ	11,029	-22.27%	-8.94%	-23.40%
DOW JONES INDUSTRIAL AVERAGE	30,775	-10.78%	-4.10%	-9.05%
EUROSTOXX 50	3,455	-9.35%	-8.86%	-12.07%
FTSE 100	7,169	-3.80%	2.89%	5.69%
DAX	12,784	-11.31%	-9.25%	-17.69%
CAC 40	5,923	-8.92%	-6.68%	-6.22%
SHANGHAI COMP	3,399	5.56%	-10.65%	-3.32%
JSE AFRICA ALSI	66,223	-11.69%	4.07%	4.98%
SEMDEX	2,127	-2.19%	5.28%	17.96%

Currencies*	Rate	Q2'22	6 Months	12 Months
EUR vs USD	1.05	-5.27%	-7.79%	-11.59%
GBP vs USD	1.22	-7.31%	-10.01%	-11.95%
JPY vs USD	136	-10.34%	-15.20%	-18.14%
AUD vs USD	0.69	-7.74%	-4.96%	-7.94%
BRL vs USD	5.26	-9.77%	5.96%	-5.51%
ZAR vs USD	16.3	-10.29%	-2.05%	-12.28%
CNY vs USD	6.70	-5.36%	-5.12%	-3.62%
MUR vs USD	45.4	-1.09%	-3.87%	-6.26%
MUR vs EUR	47.5	5.13%	4.77%	6.52%
MUR vs GBP	55.2	7.28%	9.88%	8.52%
MUR vs ZAR	2.78	9.73%	-1.42%	6.85%

*A+1.00% change in A vs B means an appreciation of 1.00% of currency A versus currency B

Fixed Income	2Y (%)	Q2'22	10Y (%)	Q2'22
United States	2.95	0.62	3.01	0.67
Germany	0.65	0.72	1.34	0.79
United Kingdom	1.84	0.49	2.23	0.62
Italy	1.20	0.92	3.26	1.23
France	0.55	0.58	1.92	0.94
Australia	2.63	0.82	3.66	0.82
China	2.25	-0.04	2.82	0.03
South Africa	6.95	1.20	11.00	1.03
India	6.53	1.56	7.45	0.61
Mauritius	2.05	0.40	4.40	0.65

Commodities (in US Dollars)	Value	Q2'22	6 Months	12 Months
Commodity Index	117.0	-5.92%	18.03%	23.81%
Crude Oil WTI	114.8	6.39%	47.61%	52.82%
Brent Oil	105.8	5.46%	40.62%	43.95%
Gold (ounce)	1807	-6.72%	-1.20%	2.10%
Silver	20.3	-18.21%	-13.00%	-22.38%
Palladium	897	-9.08%	-7.44%	-16.62%
Copper	371	-21.82%	-16.78%	-13.55%
Iron Ore	878	-7.19%	28.29%	-36.46%
Wheat	869	-13.64%	12.71%	29.37%
Sugar	18.8	-3.39%	-0.26%	6.81%

Macroeconomic Outlook - Mauritius



Macroeconomic Outlook - Mauritius

While our economy is still struggling to recover from the consequences of Covid 19 pandemic, the Russia- Ukraine war has made things even worse. We are today seeing a combination of some of the worst economic conditions affecting the Mauritian economy in combination, that is high inflation, slow growth, current account deficit, a weakening currency, and a shortage of foreign currency. The GDP for the first quarter of 2022 increased by 8.9% to Rs 128.4 bn as compared to Rs 110.0bn for the corresponding period 2021. Quite obviously the main contributor was accommodation and food service activities with a growth of 5.6% in the quarter. If we compare this growth to the pre-pandemic period, it represents an increase from the Rs 120.7bn level. However, these figures should be considered in combination with the fact that the Rupee has depreciated by over 23% during the same period. To add to it, we are also facing other challenges like the Current Account Deficit (13.7%), Budget Deficit (5%), and Debt to GDP ratio (100.6%), which will deteriorate further to 106.1% in the FY 2021/22 according to the World Bank. On the plus side, we had a total of 313,548 tourist that came to Mauritius during the period Jan-May 2022 as compared to 2,945 last year. This will help the country in terms of precious foreign currency. Further, the allocation for promotion of Mauritius as a destination of choice was increased in the last budget; this should help the momentum in the coming months

MAURITIAN GDP EVOLUTION

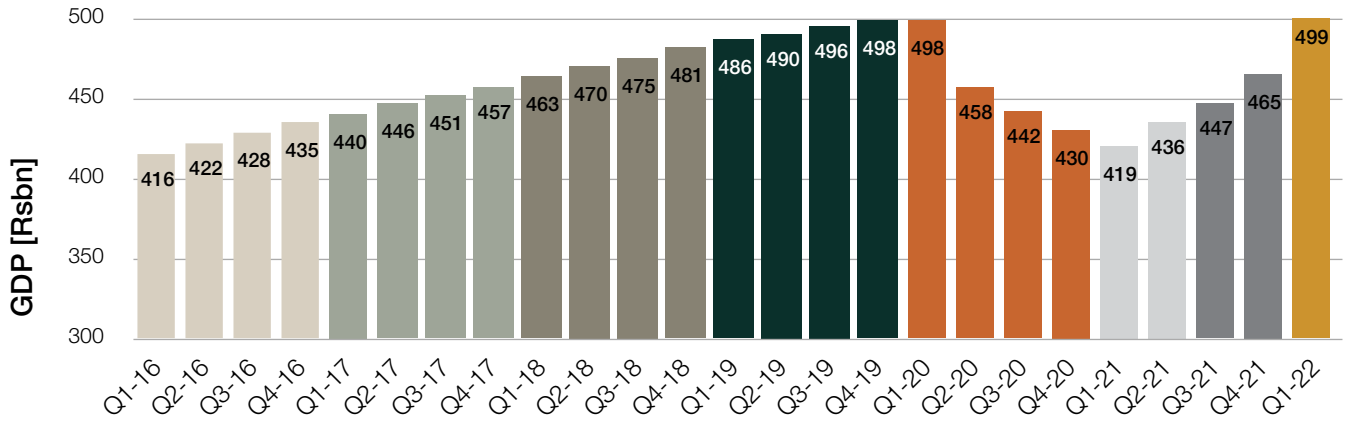
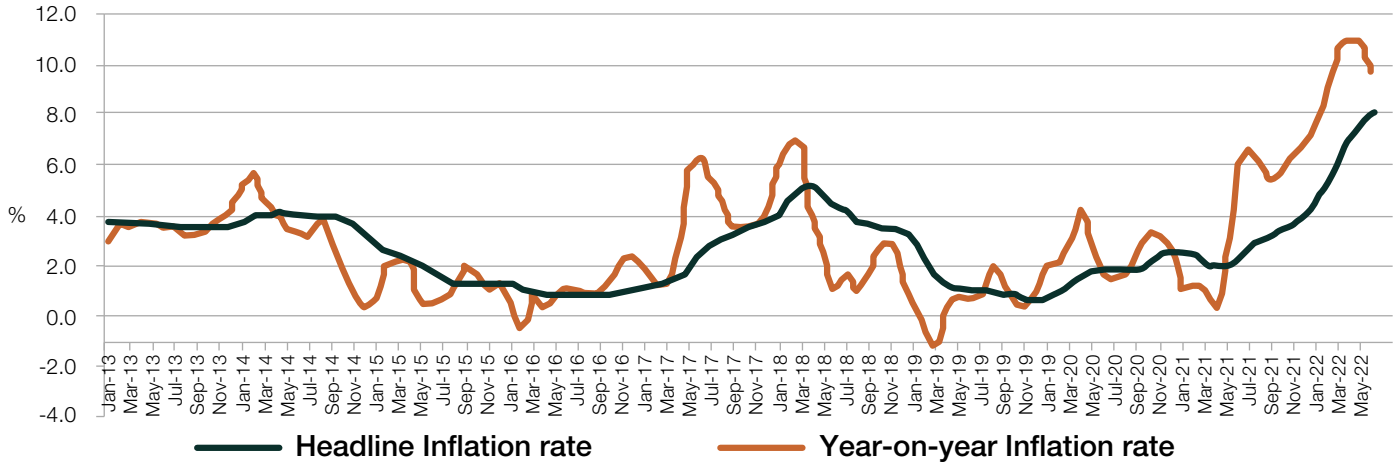


Figure 1. Evolution of Mauritian GDP on a rolling 12 month basis

In line with the rest of the world, Mauritius is also feeling inflationary pressures on its economy. According to the Statistics Office, year-on-year inflation worked out to 9.6% in June 2022, compared to 5.9% in June 2021. Headline inflation for the 12-months ending June 2022 worked out to 8.0%, compared to 2.2% for the 12-months ending June 2021. With the removal of subsidies that were introduced last year on several basic products, the inflation rate could go even higher in the coming months. An allocation of Rs 1,000 has been earmarked for CSG-contributing members of the workforce earning less than Rs 50,000, and an increase of between Rs 1,000 to 2,000 was given to pensioners. Those measures should help to alleviate the suffering of some of our citizens.

Macroeconomic Outlook - Mauritius

HEADLINE AND YEAR-ON-YEAR INFLATION RATE JANUARY 2013 TO JUNE 2022



Source: Statistics Office Mauritius

During the quarter there was another increase in the repo rate of 25 bps by the Monetary Policy Committee (MPC) of the Bank of Mauritius (BoM), thus taking it to 2.25%. The MPC took the decision to "balance the risks to the growth and the inflation outlook in light of these developments, and acknowledged that monetary policy should respond to growing inflationary pressures, whilst not impinging on macroeconomic conditions for recovery."

This was followed by an increase in the rate of short-term instruments issued by Bank of Mauritius. The 91 days, 182 days and 364 days Government of Mauritius bills increased by 25bps, 26bps and 38bps respectively during the quarter. Investors have been looking keenly for short-term papers, with the expectation that yields will climb gradually and they may re-invest their money at higher yields after some months. However, the 20-year bond auction held on 22 June appears to have reined in expectations for higher yields across the yield curve. Indeed, market expectations for higher yields at the end of the yield curve did not materialise. The weighted average yield for the 20-year auction came out at 5.31%. Excess liquidity is estimated at around Rs 25 billion.

Budget 2022-2023

In his third budget speech on the 7th of June, the Minister of Finance drew from global macroeconomic trends of war and inflation, as well as from popular themes such as renewable energy and general 'deglobalisation' trends to construct his vision for Mauritius.

The budget effectively focused on:

- Self-sufficiency, notably mentioning the decrease of our reliance on food imports;
- Including renewable energies into the local power grid, with a production goal of additional 435MW from renewable sources by 2030;
- Maintaining demand for property and housing for residents; and
- Transitioning to an electric transport system, with facilities offered to acquire electric vehicles and a planned renewal of current public transport fleet, to name a few.

While certain measures, assumptions and statements are indeed welcome, we however remain wary of the overall budgetary trends, notably the habit taken by our Honorable Minister of 'riding the global news' to fashion a budget which remains, by nature, short-termist in its vision. Case in point, the reader will remember that:

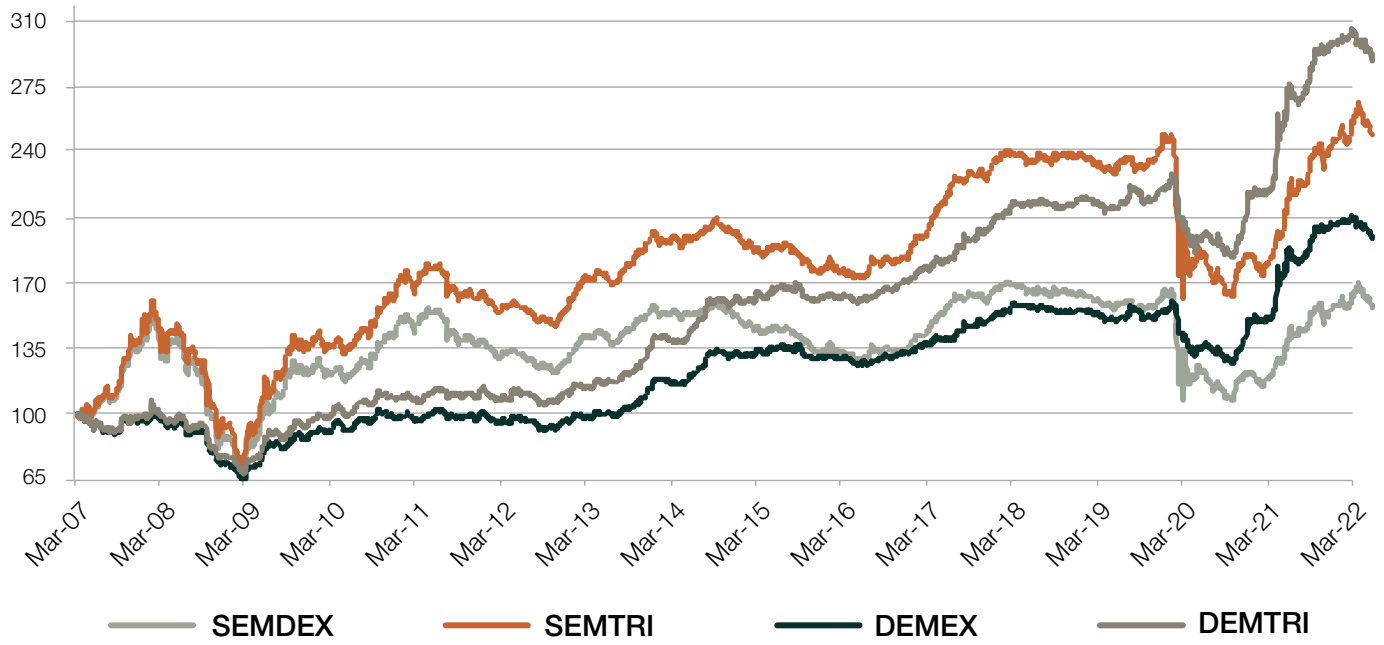
- In 2020, during the height of the pandemic, the Honorable Minister deployed one of the most expansive fiscal budgets in our history, a budget greatly inspired by the 'Green New Deal' vision of Joe Biden.
- In 2021, with vaccines for the COVID-19 being under development, the Ministry of Finance advocated for the launch of the pharmaceutical industry on our shores.

As such, we deplore the pronounced lack of 'originality' on the part of the Ministry of Finance in creating a true vision for our island, a vision that so far has missed:

- An accurate diagnosis and renewed strategy for our hospitality industry, which stands today depleted by a combination of factors that are slowly but surely draining our comparative advantages (labour quality and labour shortage, high hotel indebtedness, overreliance of hospitality players on property development and real estate, increased competition on key existing markets and underperformance on new markets, stale value proposition for the visitor, etc.)
- Using the turnaround momentum generated by abiding to international standards to boost and push for value-added services, such as tax advisory, banking and insurance as well as investment and wealth management capabilities through the goodwill generated by the Global Business Sector
- Introducing a robust framework for the development of the Technology sector, be it in R&D, Big Data or Education, to name a few.

Overall, we think that the budget could have done better to reassure economic agents that the future of Mauritius remains an interesting challenge despite all the prevailing conditions.

MARKET PERFORMANCE



The second quarter of the year saw local equity prices going down. The was on the back of the ongoing war in Ukraine. Mauritius is not spared by the spillover effects of the war. Strained supply chains, rising commodity prices and geopolitical uncertainty are affecting the purchasing power of the average Mauritian consumer. The upcoming months will seemingly not be too joyful for import-based distributors who will continue to experience pressures on profit margins. Furthermore, the depreciation of the Mauritian Rupee against the US Dollar further increases the plight of the people.

As such, we choose to remain in the traditional sectors as key investments on the local market, which can be summarized as follows:

- Sugar, Real Estate and Agriculture - Alteo, ENL, Medine
- Energy - Alteo, ENL, Medine
- Financials - MCBG, SBM, Fincorp

Quarterly Local Equity Performance

Equities (in local currency)	Value	Market Cap.	Q2'22	6 Months	12 Months
Beachcomber Res	8.24	4,524	-1.9%	16.1%	45.1%
LUX* Res	51.25	7,027	-5.1%	21.7%	55.3%
Sun Res	25.75	5,010	17.0%	35.5%	39.2%
Lottotech	7.13	2,424	-9.6%	-10.7%	-15.0%
Auto Systems	93.50	331	-15.0%	-5.9%	-1.2%
CIEL	6.70	11,322	-3.2%	8.8%	32.3%
Alteo	31.72	10,102	-4.3%	-0.3%	26.2%
Medine	55.50	5,828	-7.5%	11.0%	5.7%
Innodis	42.00	1,543	-8.5%	-17.6%	-4.5%
Mtius Oil Ref	20.70	689	-8.0%	-5.9%	3.3%
Phoenix Bevs	600.00	9,868	1.2%	0.3%	2.1%
Vivo Energy Mtius	246.00	7,213	1.6%	4.6%	7.6%
MCB Group	307.41	73,954	-2.0%	-1.2%	18.1%
SBM Hldg	4.82	14,652	1.4%	17.6%	12.8%
CIM Fin Svcs	9.51	6,468	-2.7%	2.3%	33.3%
Fincorp Inv	21.00	2,170	-4.5%	2.4%	5.4%
MUA	135.75	6,969	-3.8%	-0.3%	22.3%
SWAN General	446.75	3,697	1.1%	2.7%	50.4%
Terra	25.43	5,786	-20.5%	-17.3%	9.8%
IBL	52.00	35,372	-3.8%	-1.0%	11.5%
Mtius Dev Inv Trust	3.08	1,305	6.9%	5.8%	21.3%
POLICY	4.25	965	-14.0%	-17.0%	1.4%
National Inv Trust	32.00	877	0.0%	7.4%	21.2%
Promotion & Dev	100.75	3,926	-3.6%	1.3%	28.8%
Belle Mare Hldg	27.50	2,161	3.8%	12.3%	13.3%
Dale Capital	1.91	558	1.1%	0.0%	0.0%
Rogers & Co	28.40	7,158	3.0%	6.0%	36.5%
Harel Mallac	43.00	484	-2.3%	-2.3%	7.5%
Gamma-Civic	43.00	5,730	4.3%	3.9%	11.0%
ENL	26.89	10,085	13.1%	27.1%	37.0%
Utd Basalt Prod	139.00	3,685	-11.4%	-8.6%	-2.1%
Mtius Chem & Fert Ind	10.00	220	0.0%	2.7%	-9.1%
Plastic Ind Mtius	46.25	93	9.3%	12.0%	5.9%
Ascencia	29.40	14,327	-5.0%	-2.3%	0.0%
BlueLife	0.81	1,126	45.2%	53.5%	17.9%
Caudan Dev	0.85	1,700	-8.6%	-4.5%	-13.3%
Utd Docks	71.00	1,196	2.0%	15.2%	19.6%
Omnicane	18.05	1,210	-9.3%	4.6%	-4.5%

Macroeconomic Outlook - Kenya

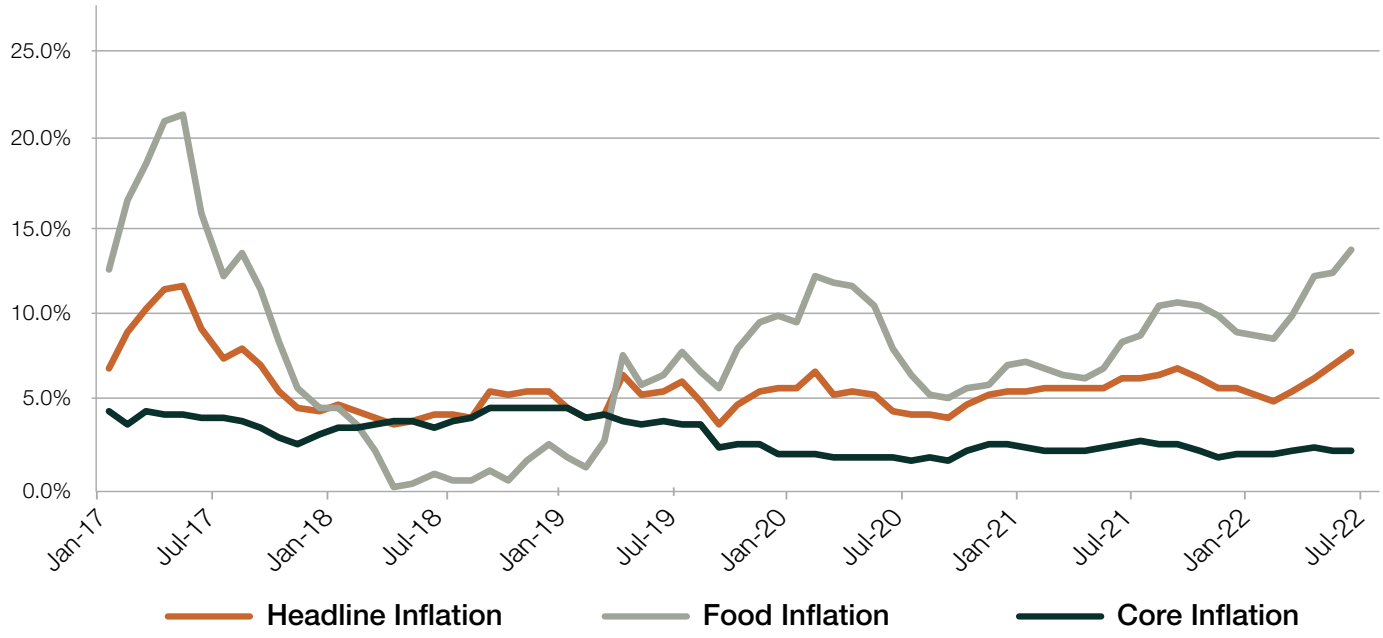


Macroeconomic Outlook - Kenya

Inflation Remains Elevated

Headline inflation in Q2'2022 increased 117 bps to an average of 7.16% compared to 5.98% in Q2'2021. The June inflation rate print increased to 7.90% from 7.10% in May, which was a 5-year high. Elevated inflation figures during the quarter have been driven by an increase in the food, fuel and utilities indices following unfavorable weather conditions, rising cost of farm inputs, global macroeconomic factors and rising global energy prices. We remain concerned with the continuous increase in inflation with the current rate now above CBK's target range of 2.5%-7.5%. Concerns persist with regards to the rising global fuel prices and the ongoing pressure on the Kenyan Shilling. The already prevailing US dollar shortage amid higher demand is expected to exert pressure on the local currency. Rising inflation will partly continue contributing to elevated prices for manufacturers, which we expect will be passed down to consumers.

KENYA'S 5-YEAR HISTORICAL INFLATION FIGURES



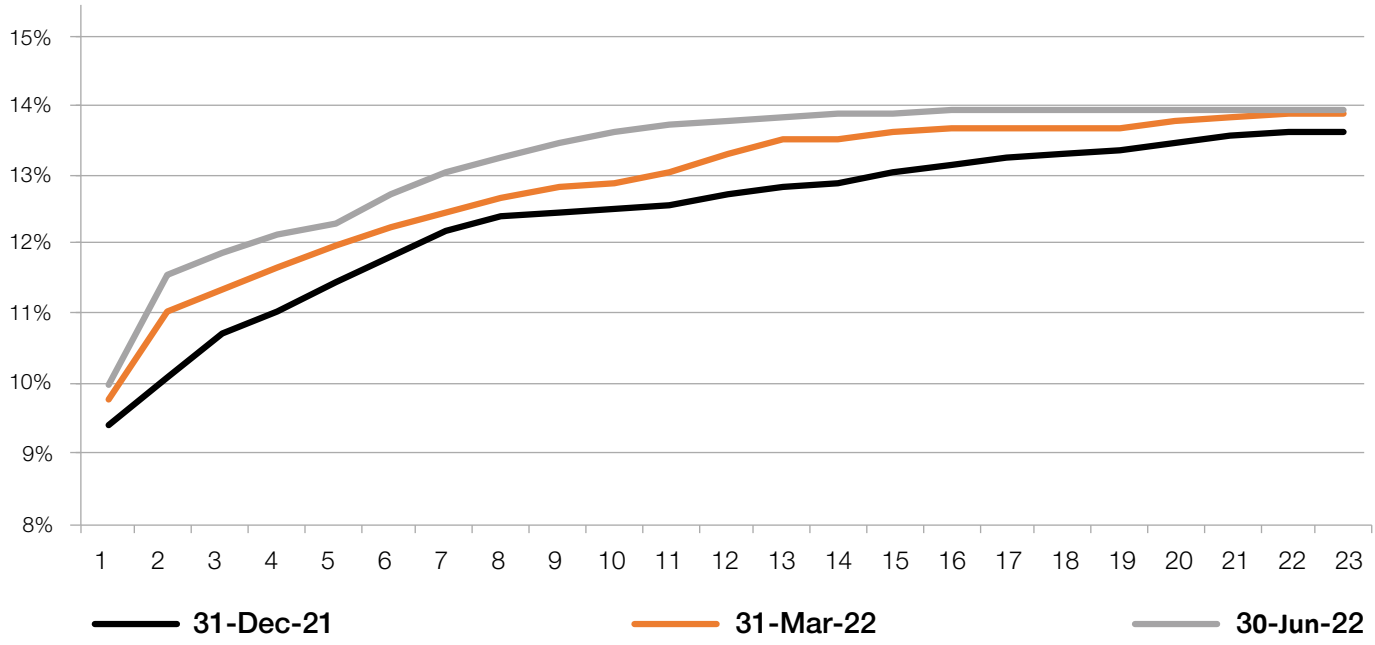
Economic growth remains challenged

The Monetary Policy Committee met once, during the quarter, raising the Central Bank Rate (CBR) by 50 bps to 7.50% from the previous 7.00%. We expect another round of hiking in Q3, meant to tame the rising inflation. During the Quarter, Kenya National Bureau of Statistics, released the Q1'22 GDP figures where the economy expanded by 6.80%, faster than the 2.70% seen in Q1'21. Rebounds in economic activity after easing of COVID restrictions was a key driver in the recovery. The growth was also supported by improvements in Manufacturing, Wholesale and Retail Activities and Financial Services coupled with sustained growth in Construction, Real Estate and Information and Communication activities. We remain concerned by the contraction in Agricultural sectors largely on account of delayed rainfall and increase in the prices of farm inputs.

Macroeconomic Outlook - Kenya

The yield curve on government securities steepened, with periods of flattening, during the period as investors sought higher returns in the face of increased uncertainty in the local and global economies. We anticipate further steepening of the yield curve in the longer term as investors demand higher risk-adjusted returns in the wake of current global crises, with the yield curve facing further pressure given the government's huge appetite for borrowing for infrastructure projects in the new fiscal year 2022/23.

NSE YIELD CURVE



Struggling Currency

The Kenyan Shilling further depreciated against the US Dollar by 2.51% in Q2'2022 to close at KES 117.83 from KES 114.95 at the end of Q1'2022 taking the YTD loss to 4.15%. This is attributable to the strengthening of the dollar against other currencies, but also, the rise in global commodity prices has led to a higher dollar demand by importers who at the same time reported an acute dollar shortage due to a reduction in receipts from agricultural produce. Forex reserves increased by 1.81% to USD 7,982 Mn (4.74 months of import cover) from USD 7840 Mn (4.66 months of import cover), above the CBK's statutory requirement of 4 months of import cover.

We anticipate that the Kenyan Shilling will continue the losing streak, against the US Dollar, as global inflation continues to increase the amount of dollars demanded by importers. Additionally, further foreign debt repayments will weaken the forex reserves. Continued payment of dividends by local companies to foreign investors in Q3'2022 (Safaricom has a KES 30Bn/USD 254M dividend payment due in Q3'2022) is also expected to have an impact on dollar demand. However, the high season for major agricultural commodities, such as tea and coffee, in Q3 is likely to improve dollar supply.

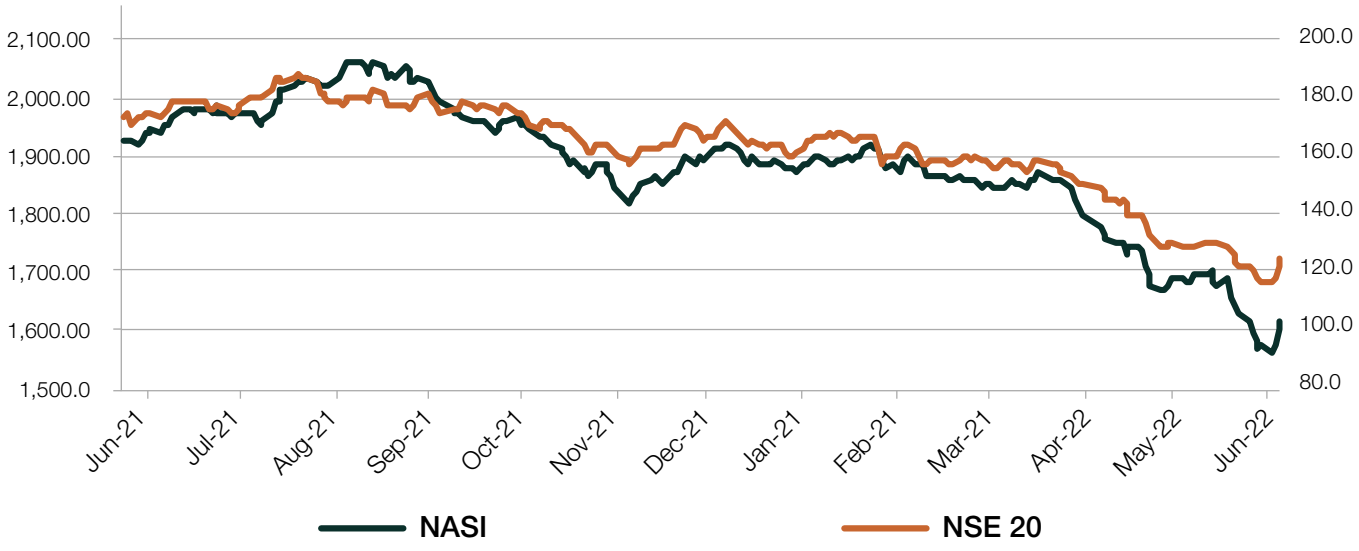
Macroeconomic Outlook - Kenya

Equities

Activity in the equities market in Q2'2022 slumped further with the benchmark indices declining 12.66% and 20.08% for NSE 20 and NASI, respectively. Equity turnover declined by 6.04% to KES 26.09Bn from KES 27.77Bn in the preceding quarter. The bourse's market value declined by 20.05% to KES 1.91Tn from KES 2.45Tn in Q1'2022. The biggest counters by market capitalization: SCOM, EQTY, KCB, EABL and COOP experienced the largest foreign participant sell-offs, dragging down activity and turnover at the bourse.

Early gains at the beginning of Q3 have informed our tidy outlook for the quarter. However, we expect moments of indices slump given the upcoming elections. We view the further benchmark rate hikes in developed markets as a key driver of foreign exits which are at the center of market performance. Safaricom has announced commencement of Ethiopian operations in August'22, which we see positively impacting the recovering counter. We also expect strong H2'2022 results from the banking sector given the rise in private sector credit growth, increased use of digital banking, further reduction in impairments provisioning and increased forex income from the huge spreads we have seen during the quarter.

NSE INDICES PERFORMANCE



Quarterly Kenyan Equity Performance

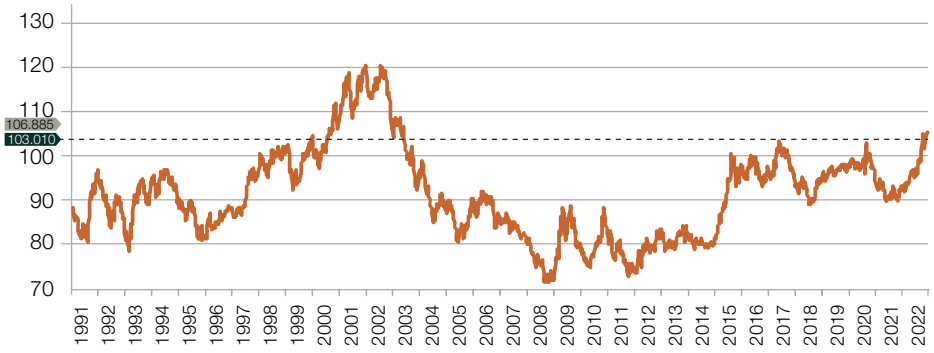
Equities (in local currency)	Value	Market Cap.(Mn)	Q2'22	6 Months	12 Months
ABSA Group	10.45	140	-0.9%	5.3%	8.2%
Bamburi Cement	34.35	2,748	-8.4%	-2.3%	-9.2%
British American Tobacco	407.75	203,875	-9.6%	-9.4%	13.0%
Bank of Kigali	29.45	825	5.2%	9.1%	43.7%
Britam Holdings	5.60	50	-30.7%	-22.7%	-22.9%
Carbacid Investments	11.50	92	-3.8%	-4.2%	-5.0%
CIC Insurance Group	2.10	6	-29.5%	-2.8%	-1.4%
Co-operative Bank	10.90	178	-18.4%	-21.0%	-12.8%
Crown Paints	41.50	2,594	52.9%	14.3%	9.2%
Centum Investment	9.78	289	-44.4%	-43.8%	-39.1%
Diamond Trust Bank	49.95	5,445	-19.8%	-15.7%	-33.4%
East African Breweries	137.25	27,244	-19.6%	-24.1%	-11.0%
Equity Group	43.00	2,301	-15.3%	-3.9%	17.6%
STANLIB FAHARI I-REIT	6.00	57	-11.2%	-2.3%	6.4%
HF Group	3.23	21	-16.5%	-16.5%	-2.7%
I&M Holdings	17.00	1,836	-25.4%	-22.2%	-62.2%
Jubilee Holdings	259.50	91,085	-25.9%	-26.0%	-8.6%
KCB Group	38.65	2,087	-17.3%	-9.4%	1.4%
KenGen	3.38	19	-27.3%	-14.2%	-28.2%
Kenya Re Insurance	1.99	6	-20.4%	-19.4%	-14.2%
Kenya Power	1.43	4	-16.9%	2.1%	-16.4%
Kakuzi	441.25	150,025	14.8%	9.0%	20.9%
Liberty Holdings	5.40	2,236	-33.5%	-37.6%	-29.9%
Longhorn Publishers	2.80	19	-30.0%	-33.6%	-42.6%
Nairobi Business Ventures	3.60	3	-47.4%	-64.7%	-15.9%
NCBA Group	23.60	870	-9.2%	-7.5%	-11.8%
Nation Media Group	17.05	679	-27.0%	-31.8%	10.4%
Nairobi Securities Exchange	7.12	88	-25.1%	-14.8%	-12.7%
Sasini	19.00	321	-5.0%	5.3%	-2.6%
Stanbic Holdings	98.75	10,788	7.3%	21.9%	16.2%
WPP Scangroup	3.08	53	-41.4%	-40.8%	-48.7%
Standard Chartered Bank	124.75	25,262	-4.2%	-3.9%	-13.5%
Safaricom	24.95	786	-40.7%	-39.8%	-27.2%
Standard Group	12.75	351	-26.7%	-26.7%	-43.3%
Sanlam	12.00	206	4.3%	20.0%	-7.3%
Total Kenya	23.45	645	0.4%	-6.2%	-2.3%
TPS Eastern Africa	13.80	242	-10.1%	-1.4%	-13.8%
Umeme	6.88	57	-1.7%	17.8%	-5.5%
Unga Group	30.40	1,034	1.3%	9.4%	-4.4%

Market Insight



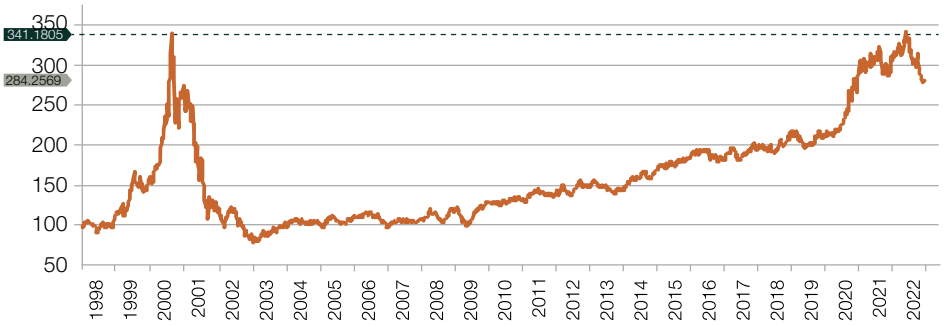
Market Insight

THE MIGHTY US DOLLAR



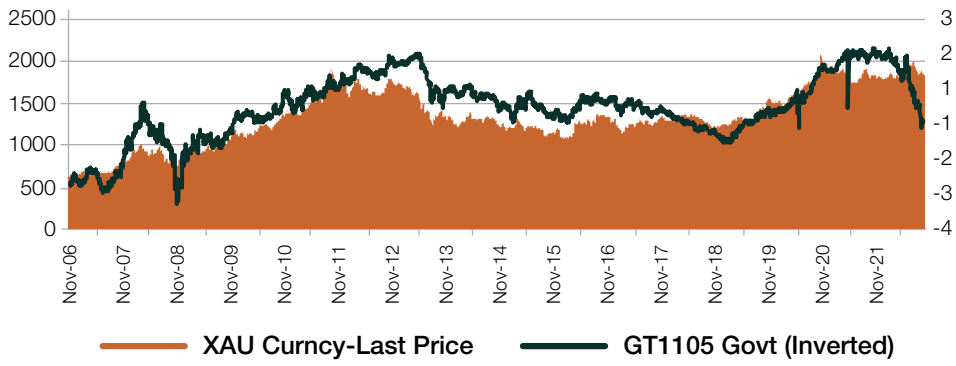
The US Dollar Index has appreciated by 9.4% since the start of the year 2022 and has recently broken the key 100 level. With the US Federal Reserve keen to quell inflationary pressures by raising interest rates aggressively, and the growing fears of a global recession in the foreseeable future, the US Dollar will, in all likelihood, appreciate further in the months to come. This outlook is strengthened by the positioning of the European Central Bank and the Bank of Japan - both central banks are unlikely to match the aggressive contractionary monetary stance of the US Federal Reserve.

THE VALUE PLAY IS JUST GETTING STARTED



Since the Great Financial Crisis, stocks underpinned by growth characteristics trounced their value counterparts. With inflation under control during that period, central banks supported financial markets with loose accommodative monetary policies. It can be strongly argued that this macroeconomic setup is no more valid and that there has been a paradigm shift. The relative performance of the NADSAQ versus the Dow Jones Industrial Index suggests the resurgence of the value play is just getting started.

REAL RATES MATTER FOR GOLD



The price of Gold is likely to come under pressure if current market conditions prevail. Real interest rates matter as far as the precious commodity is concerned. There exists a negative correlation between the expected real rates in the United States and the price for gold. As expectations for real interest rate rise, investors tend to reduce their gold exposure at the expense of fixed income. Given gold is a non-yielding asset, investors favour fixed income securities over gold during periods when the real interest rate is positive.

Portfolio Performance





Portfolio Performance

- Global inflation, the war in Ukraine and supply chain constraints were once again the main drivers of financial markets in Q2'2022. Most equity and fixed income indices remained under pressure and dived deeper into negative territory. The MSCI All Country World Index lost 16.13% and the Bloomberg Aggregate Bond Index fell by 8.26% over the quarter. Despite the strong momentum observed in Q1, commodities also posted losses to the tune of -5.66% for Q2.

- A defensive stance was adopted in early Q2 by rotating from growth plays towards defensive stocks such as utilities and dividend players, which helped portfolios outperform their equity benchmark. We further moved to raise cash once it became evident that consumer confidence was plummeting.

- It is also to be noted that we maintained our heavy underweight stance with respect to European assets due to the whole war situation. On the other hand, we maintained our overweight positioning towards emerging markets which outperformed developed equities over Q2'2022.

- Our bullish stance on commodities was altered once it became evident that traders were fretting over a significant slowdown in economic activity. We liquidated our exposure to commodities, including gold, in early June. Commodity markets eventually sold off heavily.

- Regarding Fixed-Income, we kept our short duration strategy over the quarter. We rotated out of corporate exposure into government securities in anticipation of an increase in credit spreads. Late in the quarter, we marginally increased duration at the long end of the curve as fears of a global recession increased.

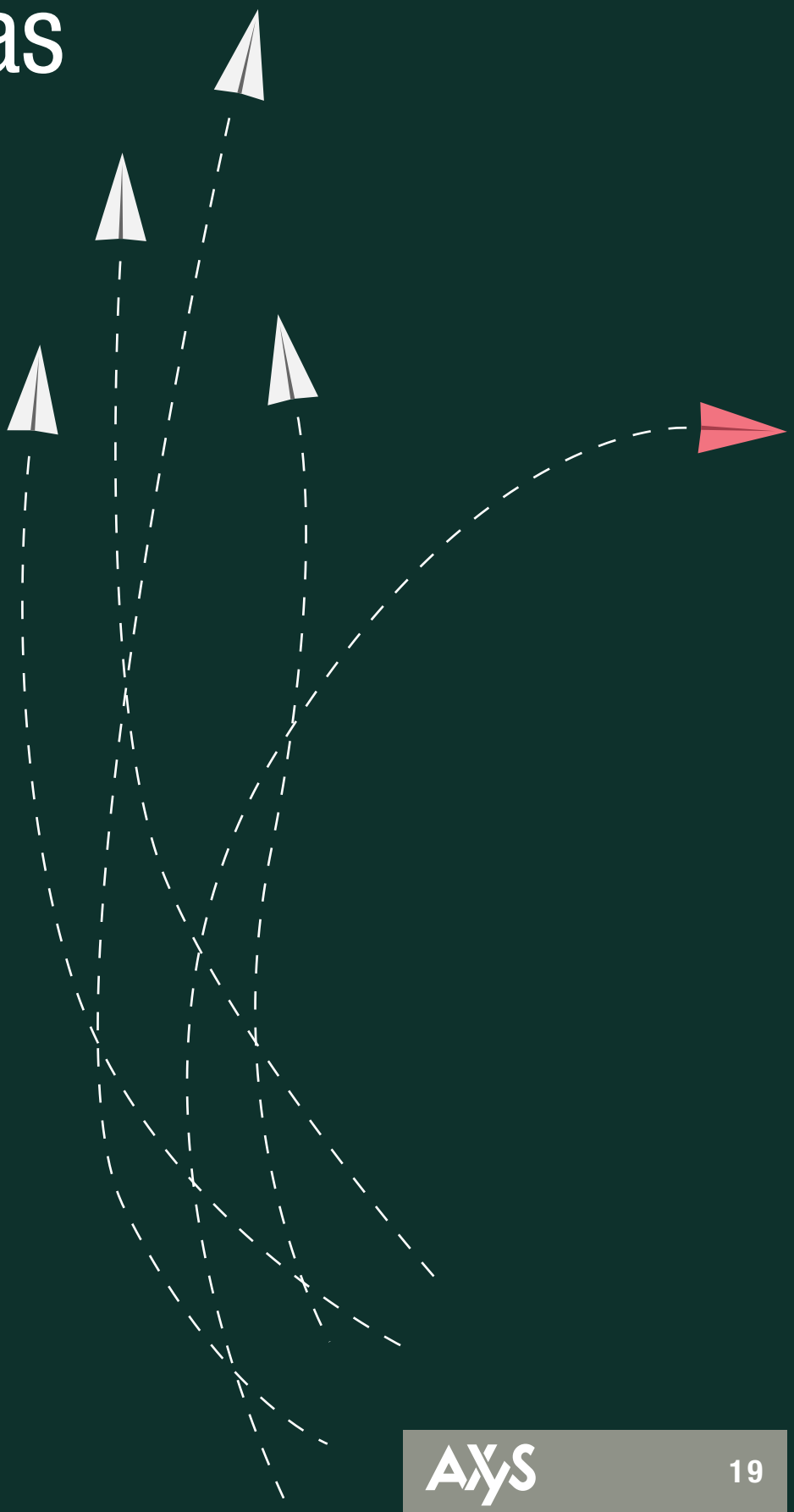
- Currency-wise, our large overweight stance towards the US Dollar paid out as it continued to appreciate against almost every major currency.

Conservative	QTD	YTD	1 Year	3 Years (ann.)
USD	-7.88%	-10.34%	-12.74%	-3.29%
EUR	-4.83%	-9.08%	-8.69%	-
MUR	-1.68%	-0.21%	2.47%	5.88%

Defensive	QTD	YTD	1 Year	3 Years (ann.)
USD	-9.19%	-14.01%	-15.19%	-0.96%
EUR	-5.06%	-8.03%	-7.66%	-
MUR	-2.35%	0.75%	5.10%	5.37%

Balanced	QTD	YTD	1 Year	3 Years (ann.)
USD	-10.00%	-14.34%	-16.96%	-4.00%
EUR	-4.40%	-6.91%	-6.42%	-0.66%
MUR	-2.64%	0.29%	4.22%	7.86%

Trade Ideas



Trade Ideas

Rotating out of growth stocks into value stocks

Companies with high growth perspectives performed strongly over the last financial cycle as a 'goldilocks' environment of low inflation and steady growth provided the perfect vacuum for growth propositions to outperform. With inflation at levels unseen since the 1970's, the rotation has started. Indeed, central banks have become much more aggressive with respect to monetary policy and this has weighed on financial markets. We foresee a continuation of the underperformance of growth stocks in a rising rate environment as traders rotate into companies that are more mature and have more predictable and stable earnings. Typically, value stocks often match these criteria. One should however be aware of the value trap whereby cheaply valued companies fail to recover their previous margins. We propose a US listed ETF to gain exposure to the expected rotation out of growth into value. The ETF tracks the S&P 500 Low Volatility High Dividend Index which holds large and mid-cap US stocks. Its investments are chosen from the 75 highest dividend yielding stocks in the S&P 500 then narrowing down to the 50 stocks with the lowest volatility and weights them by dividend yield. The ETF fell by only 2.5% over the last six months while the S&P 500 retreated by 20.0%. [See Page 38]

Indian equities to outperform

Emerging markets have proved to be more resilient over the last three months than their developed counterparts. This was only the fifth time over the last seventeen quarters that emerging equities performed better than developed stocks. While it is too early to suggest that this is the start of a trend reversal, we remain constructive on Indian equities. The Indian economy is booming - it is expected to register one of the strongest economic growth figure internationally for 2022. Indeed, the latest World Bank update suggest the Indian economy will grow by 7.5% for 2022 and by 7.1% in 2023. In spite of being an importer of oil, economic momentum has only slowed marginally in India and is expected to remain one of the most resilient economies with the emerging market segment. We propose the Indian Subcontinent Fund which invests in equity and equity-related securities of listed companies in India and the neighbouring region. The Fund has outperformed the MSCI Emerging Markets Index by 7.0% over the last six months. [See Page 40]

Fixed Income as a portfolio stabiliser

For years, financial strategists have rooted for equities at the expense of fixed income. This was motivated by an economic environment which was conducive to an outperformance of the equity markets. With inflation being under control, central banks maintained the accommodative monetary policies which appeared in the aftermath of the Great Financial Crisis for most of the decennial which followed the crisis. Indeed, as inflationary pressures were kept in check, there was no urge to raise interest rates by monetary authorities. During this era, the TINA - 'There Is No Alternative'- argument was put forward by many analysts to suggest that equities was the only asset class worth investing in hindsight, this proved to be true. With central banks hiking interest rates aggressively, it can now be said that the TINA reasoning is no more valid. In this context, we believe that increasing the exposure to the fixed income segment makes sense over the medium term. As traders price in hawkish moves by central banks, the yields on offer have risen significantly. Over the last six months, the yield on the 2YR US Treasury has climbed by an eye-catching 222bps. Investors can now increasingly lock in fixed returns of above 5.0% over the short term and this should make investment portfolios more resilient while also delivering returns. [Contact Us on info@axys.mu for more investment opportunities]

AXIOM Funds



AXIOM Funds

AXIOM Patrimoine – Capital Growth through Diversification

Launched on 25 May 2022, AXIOM Patrimoine has been designed to provide investors the opportunity to grow and protect their capital while planning for future projects such as children's tertiary education, or life events like costly medical treatments, as well as to maintain one's lifestyle after retirement. The Fund has a long-term target return of at least 6% per annum. AXIOM Patrimoine is a multi-asset class fund engineered to benefit from different asset types, both domestically and internationally. In a period of rising inflationary pressures and economic uncertainty, we believe a well-diversified portfolio is appropriate to navigate rocky financial markets.

AXIOM Africa Equity Fund – African Resilience

During Q2'2022, AXIOM Africa Equity Fund further demonstrated its resilience. Amid rising inflation, and a tense geopolitical and macroeconomic context, the MSCI World Index declined by 16.06% over the quarter. Despite these international challenges, the performance of AXIOM Africa has been under control, outperforming most developed and emerging markets indices. We reiterate our optimistic view on AXIOM Africa for the rest of the year given supportive socio-economic and fundamental drivers across the region.

AXIOM Sustainability Premia – A Sustainable Portfolio Diversifier

AXIOM Sustainability Premia was designed to exploit market inefficiencies, providing investors with an uncorrelated vehicle to navigate the stock market throughout different market cycles, while being resilient during sharp market downturns. This characteristic was demonstrated over the last month as the Fund, which solely invests in the European Market outperformed the EuroStoxx 50 by 7%, returning -1.75%. The rise in oil prices favors the case for sustainable and alternative sources of energy, and AXIOM Sustainability Premia provides an exposure to sustainable stocks.

AXIOM Yield Fund – Higher Return Potential on Your Savings

AXIOM Yield Fund aims to deliver returns above the savings rate plus a premium, through capital appreciation and regular income distribution. While the rising yield environment was detrimental to the Fund's performance during Q2'2022, the Fund showed a strong performance in June as yields started to normalise, returning 83bps, compared to its benchmark which returned 20bps. With an annualised return of 6.16% since its inception and an attractive semi-annual dividend distribution, AXIOM Yield Fund remains a good alternative to regular savings accounts.

Dynamic Global Equity – Quality Global Exposure in Multiple-Currencies

Dynamic Global Equity invests in a selection of high-quality global stocks. In Q2'2022, the fund was down 15.44%, while its benchmark was down 16.19%. Inflationary pressures continued to escalate globally during the last 3 months, which forced rate hikes from central banks. In addition to rising inflation, there have also been signs of an economic slowdown. Together, these factors contributed to the poor performance of global equity markets. Nonetheless, the Fund's track record remains strong, boasting an annualised return of 11.72% since inception (Class I – USD) and has already displayed some signs of recovery since the beginning of Q3'2022 as inflation somewhat eased.

AXIOM Equity Fund – Opportunity to Participate in the Mauritian Economy

AXIOM Equity Fund aims to offer investors exposure to the best-in-class Mauritian stocks with strong fundamentals that are expected to outperform through different market cycles. A depreciating currency and surging inflation remain a challenge for the Mauritian economy as the MPC raised its policy rate to 2.25% while the Bank of Mauritius intervened on the forex market to prevent further slide of the MUR. Nonetheless, we have seen an improvement in the local tourism sector as hotels renew with profitability following borders reopening. In addition, the easing of local restrictions on the 1st of July is expected to boost business activities to reach pre-covid levels. AXYS believes that the local economy will resume full capacity operations during the course of H2 2022 and as such, AXIOM Equity Fund should be well positioned to benefit from this recovery.



AXIOM Patrimoine (R MUR)

30 June 2022

Investment Focus

AXIOM Patrimoine is a multi-asset class fund designed to benefit from different asset types both domestically and internationally, with the goal of delivering an absolute and stable rate of return through both income and capital appreciation.

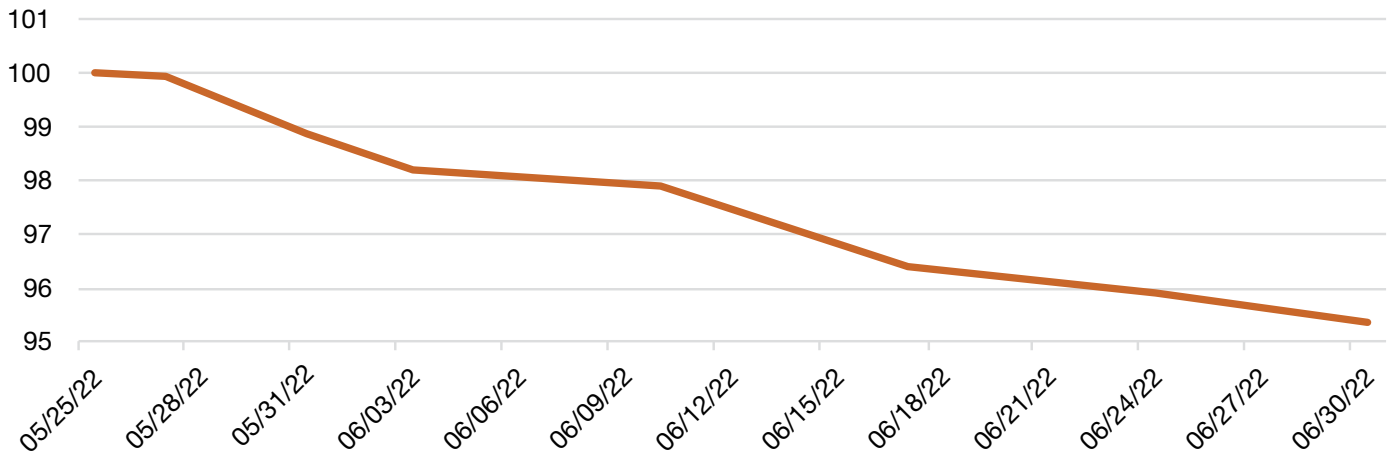
The investment strategy combines a liquidity driven stock selection model for local equities and a risk-parity model for international securities.

Price Data	
R Class - MUR	9.54
I Class - MUR	9.75

Fund Facts	
Investment Manager	AXYS Investment Partners
Inception Date	25 May 2022
Target	6% Annualised
Management Fee - R	2.0%
Management Fee - I	1.0%
Entry Fee	Up to a maximum of 2%
Exit Fee	Up to a maximum of 2%
Performance Fee - (R and I)	20% of Positive Perf above the Hurdle Rate & HWM
Minimum Investment	R: MUR10,000 I: MUR50,000,000
Liquidity	Weekly
Sub/Red Cut-off	Friday 11:00am MRU Time

Key Figures - as of end of month	
Asset Under Management (MUR)	59.9M
Number of Holdings (ex. Cash)	29
Beta	-
Volatility	-
Sharpe Ratio	-
Sortino Ratio	-
Largest Upside (weekly)	-
Largest Drawdown (weekly)	-1.53%
No of upside returns (weekly)	0
No of downside returns (weekly)	7

Fund Performance



Performance as a 30 June 2022

	1 Month	3 Months	YTD	1 Year	Since Inception
Class R MUR	-3.54%	-	-4.64%	-	-4.64%

Market Review

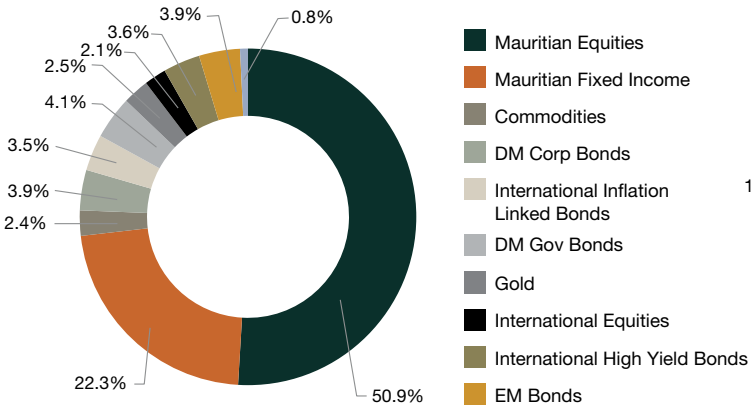
Local Market

Over the month, the SEMDEX TR (MUR) returned -1.99% dragged by Financials and Cons. Discretionary. Annual inflation stood at 10.7% YoY in May as compared to 11.0% YoY in April. GDP increased 8.9% YoY during Q1'22 compared to a contraction of 7.6% in the same period in 2021. The BoM hiked the policy rate by 25bps from 2.00% to 2.25% in a move to mitigate the impact of inflation. Tourist arrivals was at 313,548 from Jan-May 2022, representing 56.2% of 2019 levels during the same period.

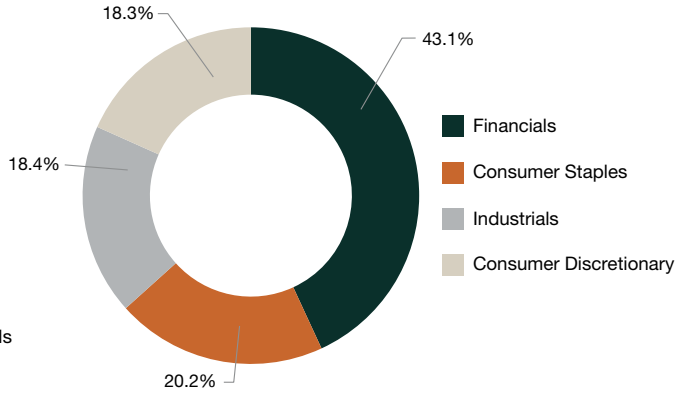
International Markets

Investor confidence further deteriorated in June after some recovery in May. The MSCI ACWI (TR) was down -8.40% in June while Global bonds returned -3.52%. After a strong performance up to May, commodities took a hit in June, sliding -10.88% as global demand for commodities weakened. Inflation woes continued to weigh on markets while central banks are maintaining hawkish tones, depite signs pointing towards a slow down of the global economy. Overall, the economic outlook remains uncertain, which strengthens the case for a well-diversified portfolio.

Asset Class Split



Local Equities Sector Split



Top 5 Long Positions

MCB Group Ltd	15.0%
MAURGB 2.88 04/01/27	7.4%
IBL Ltd	7.3%
MAURGB 2.76 06/13/25	6.7%
MAURGB 4.82 05/20/37	6.4%

Top Contributors (bps)

MAURGB 2.76 06/13/25	0.59%
iShares Global Govt Bond	0.09%
NewGold Issuer Ltd	0.07%

Top Detractors (bps)

MAURGB 4.82 05/20/37	-0.32%
Invesco Bloomberg Comr	-0.20%
MCB Group Ltd	-0.16%

AXIOM AFRICA EQUITY FUND (I USD)

30 June 2022

Investment Focus

The objective of the Fund is to achieve long term capital growth by investing in listed African equities which will benefit from various socio-economic structural changes unfolding in Africa These include the demographic wave driven by a growing African middle class and the digital revolution unfolding throughout the continent.

The capital allocation of the Fund follows a robust approach combining crucial top-down risk management, quantitative stock filtering process and solid bottom-up analysis This disciplined framework guides the decision making process throughout the investment cycle, starting from mega trend identification till execution.

Price Data	
I Class - USD	11.3003
I Class - EUR	10.779
I Class - MUR	512.7393
R Class - USD	9.8066
R Class - EUR	8.7681
R Class - MUR	493.4836

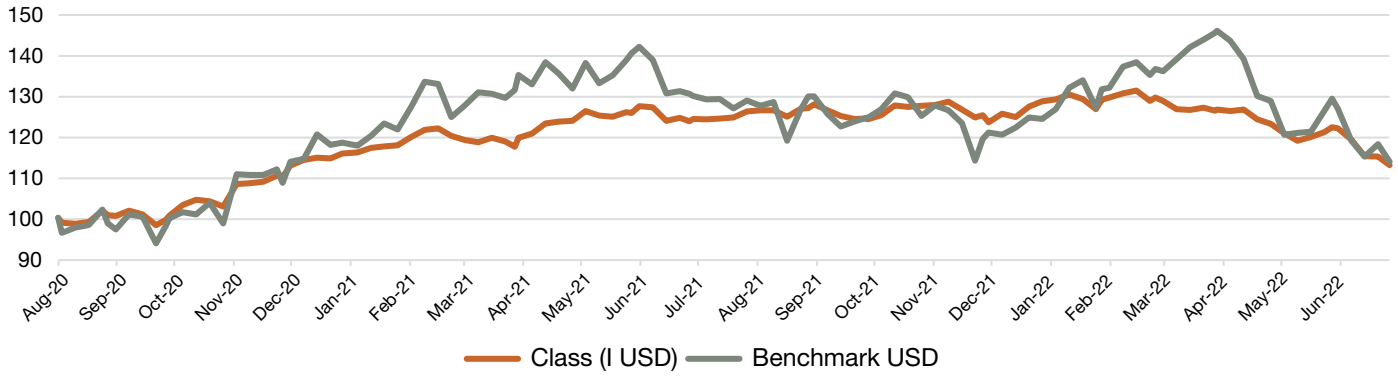
Fund Facts	
ISIN	MU0676S00009
Bloomberg Ticker	AXAFCIU
Investment Manager	AXYS Investment Partners
Inception Date	05 August 2020
Benchmark	MSCI EFM Africa Index
Management Fee - R	2.0%
Management Fee - I	1.5%
Entry Fee	Up to a maximum of 2%
Exit Fee	Up to a maximum of 2%
Minimum Investment	R: USD1,000 or equiv. I: USD100,000 or equiv.
Liquidity	Weekly
Sub/Red Cut-off	Friday 11:00am MRU Time

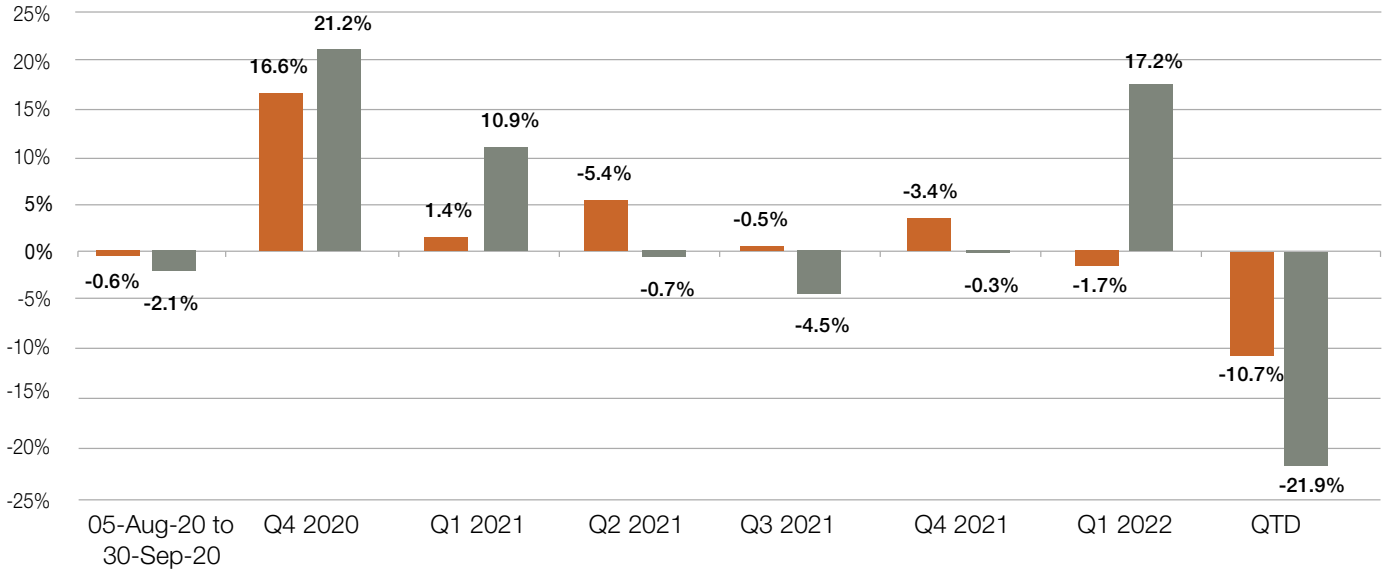
Key Figures - as of end of month	
Asset Under Management (USD)	3,034,223
Number of Holdings (ex. Cash)	38
Market Cap (M USD weighted)	4,601
Price/Book (trail. weighted)	2.6x
Price/Earnings (trail. weighted)	9.3x
Dividend Yield (trail. %)	5.26%
Active Share	>90%
Beta	0.3
Volatility	9.4%
Tracking Error	4.4%
Risk Adjusted Return	0.7
Information Ratio	-0.1
Largest Upside (weekly)	5.45
Largest Drawdown (weekly)	-3.43%
No of upside returns (weekly)	55
No of downside returns (weekly)	43

Performance as a 30 June 2022

	1 Month	3 Months	YTD	1 Year	Since Inception
Class I EUR	-7.69%	-10.67%	-12.22%	-8.76%	13.00%
Benchmark	-12.04%	-21.86%	-8.46%	-12.85%	13.86%

Fund Performance





Market Review

Northern Africa

Morocco - Over the month the MASI Free Float Index TR (USD) declined by 4.01% dragged by Financials and Comm. Services. Morocco held its benchmark interest rate at an all-time low of 1.5% in an attempt to boost economy despite inflationary pressure. The Central bank revised its projection for 2023 inflation to 5.3% and forecasted economic growth at 1%. Growth in domestic market demand dropped from 6.8% in Q1'21 to 0.7% in Q1'22. **Egypt** – Over the month the EGX 30 Index TR (USD) fell by 9.93% dragged by Financials and Materials. In May car sales fell 22% YoY, extending to a third consecutive month of decline. Net foreign reserves have fell to USD35.5Bnm declining for a second time since March, driven by external debt repayment. The CBE kept policy rate unchanged in June following a cumulative 300bps hike over the past 2 meetings, leaving the deposit rate at 11.25%. **Tunisia** – Over the month the TUNINDEX Index TR (USD) was down 0.26% dragged by Industrials and Cons. Staples. Major unions have called for a public sector strike, accusing the government of being unresponsive to social negotiations despite struggles regarding purchasing power and economy. Tunisia is planning wage cuts and reduction in food and energy subsidies as pressure is mounting regarding an agreement with the IMF to bail out the country's economy.

Western Africa

Nigeria - Over the month the Nigerian Stock Exchange All Share Index TR (USD) returned -4.18% dragged by Financials and Materials. In May Nigeria's foreign reserves decline by 2.9% MoM while the country continues to miss out on benefits of high oil prices. In May oil production slumped to 1.02mn bps, as the country struggles to meet its OPEC output target of 1.8mn bpd. BRVM – Over the month the **BRVM** Composite Index TR (USD) was down -2.69%, dragged by Comm. Services and Financials. IMF has approved USD 216M Credit to Senegal, as they seek to alleviate the nation's fiscal deficit by 2024. Activists protested rising cost of living in Burkina Faso. The UN World Food Program noted that price of corn and millet rose by more than 60% since 2021. **Ghana** – Over the month, the GGSECI Index TR (USD) returned -2.70% dragged by Energy and Comm. Services. Annual inflation stood at 27.6% YoY in May as compared to 23.6% YoY in April. PPI at 31.2% YoY in May as compared to 29.3% YoY in March. GDP in Q1'22 stood at 3.3% YoY driven by Services and Agriculture. Growth was slower than 3.6% YoY growth achieved in Q1'21. Ghana's debt ratio at 78% of GDP as at end of March from 68.3% in March 2021.

Market Review Continued

Eastern Africa

Kenya - Over the month, the NSE All-Share TR (USD) returned -4.08% dragged by Comm. Services and Financials. Kenya sealed a deal for cheaper Saudi fuel with Saudi Aramco to Kenya oil firm NOCK, which should help lower domestic oil prices. Fuel prices had reached record highs during the month. Kenya's debt ceiling was increased to USD85B from USD77B as a measure to allow the government to finance upcoming FY 22/23 budget hole of USD7B. **Mauritius** – Over the month, the SEMDEX TR (USD) returned -6.63% dragged by Financials and Cons. Discretionary. Annual inflation stands at 10.7% YoY in May as compared to 11.0% YoY in April. BOM hiked the policy rate by 25bps from 2.00% to 2.25% in a move to mitigate the impact of inflation. Tourist arrivals stood at 313,548 from Jan-May 2022, representing 56.2% of 2019 levels during the same period.

Tanzania - Over the month the DARSDSEI Index TR (USD) returned +0.58% driven by Financials. Annual inflation up to 4.0% YoY in May from 3.8% YoY in April. Tourist arrivals up 33.6% in the first 4 months of 2022 as compared to the same period last year, attributed to a lift of travel bans in neighbour countries. Mortgage market up 7.6% to USD218.1M in Q1'22 as compared to USD202.7M in Q1'21 driven by sustained economic growth, increased number of lenders and lower interest rates which fell from 22% to 15% during the last decade.

Southern Africa

South Africa - Over the month the FTSE / JSE All-Share TR (USD) was down 11.84%, dragged by Cons. Discretionary and Energy. In May headline consumer inflation rose 6.5% YoY, ahead of market expectations driven by transport and food and non-alcoholic beverages. In April retail sales surprised on the upside, up 3.4% YoY driven by 'general dealers' category. Inflationary pressure is expected to weigh on consumer spending.

Portfolio Positioning

Northern Africa

Morocco - Stock selection has been mostly negative with: HPS -14.52%, Maroc Telecom -6.49%, Disway - 0.67% contributed negatively by 24bps, 11bps, 2bps while BCP +1.86% contributed positively by 4bps. **Egypt** – Stock selection has been negative across the board with: Talaat Moustafa -12.27%, Commercial Intl Bank Egypt -10.45%, Telecom Egypt -9.16% and Misr Fertilizers -8.78% contributed negatively by 17bps, 21bps, 20bps and 14bps to the overall performance. During the month, we sold our position in Obour Land which returned - 0.17% and contributed 0bp to the overall portfolio. **Tunisia** – Stock selection has negative: Delice Holding - 0.52% and BIAT -0.29% contributed negatively by 1bp each to the overall portfolio performance.

Western Africa

Nigeria - Returns on the Nigerian portfolio has been negative for the month: Seplat -22.81%, Airtel Africa - 14.09%, Zenith Bank -8.51% and MTN Nigeria -1.13% contributed negatively by 91bps, 59bps, 10bps and 4bps to the performance. **BRVM and Gabon** – Stock selection has been negative for the month: Endeavour Mining -10.22%, Vaalco Energy -9.40%, Sonatel -4.04%, Societe Generale -3.65% and Societe Ivoirienne de Banque - 2.84% contributed negatively by 13bps, 38bps, 13bps, 14bps and 7bps to the overall portfolio performance. Ghana – Over the month, stock selection has been a mixed bag: CAL Bank +1.07% contributed positively by 3bps while MTN Ghana -3.37% contributed negatively by 10bps to the portfolio performance..

Eastern Africa

Kenya - Financials were down over the month, with Diamond Trust Bank (-9.63%), Kenya Reinsurance (- 0.54%), I&M Holdings (-2.59%) and Equity Bank (-6.38%) contributing -15bps, -1bps and -9bps respectively. **Mauritius** – The Mauritian portfolio was down across the board, SBM (-5.83%), Alteo (-4.98%), MCB (-6.48%) and ENL (-8.66%) were down, contributing -19bps, -13bps -20bps and -27bps respectively. **Tanzania** – Helios Towers was up 2.51% over the month, contributing positively by 5bps to the overall portfolio.

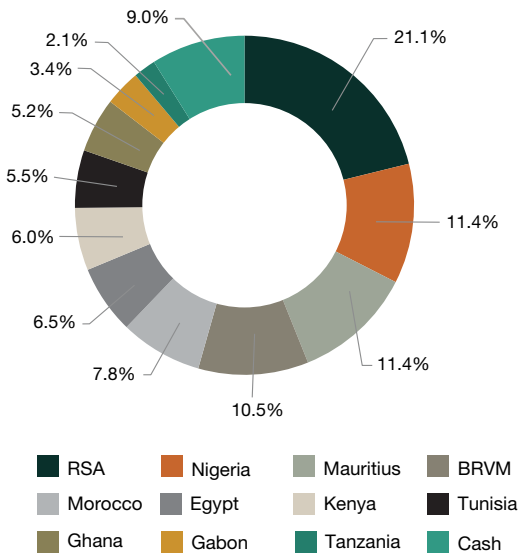
Southern Africa

South Africa - In June Naspers was up 32.34% contributing 98bps to the overall portfolio, following their latest financial results and corporate action announcements. Mining stocks were down over the month as Sibanye-Stillwater, Impala Platinum and Glencore returned -23.72%, -18.90% and -19.00% respectively, contributing -56bps, -61bps and -60 bps respectively. Financials also suffered as Nedbank (-16.34%), Transaction Capital (-18.27%) and Firstrand (-17.46%) were all down, contributing -59bps, -35bps and -89bps respectively. MTN was down 25.04%, contributing –93bps.

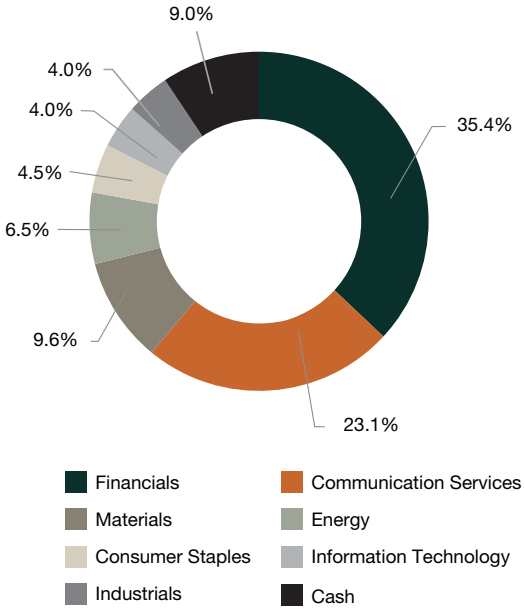
Note: Performance is reported in USD Total Return terms.



Geographical Split



Sector Split



Top 5 Positions

Naspers	4.0%
SGBC	3.8%
MTN Nigeria	3.7%
Airtel Africa	3.6%
BIAT	3.6%

Market Cap Breakdown (USD)

Above I B	51.2%
500M - I B	8.3%
100M - 500M	28.9%
Below 100M	11.6%

Top 3 Contributors (bps)

Naspers	98
Helios Towers	5
Banque Centrale Populaire	4

Top 3 Detractors (bps)

MTN Group Ltd	-93
Seplat	-91
FirstRand	-89

AXIOM Sustainability Premia (Class I - EUR)

30 June 2022

Investment Focus

AXIOM Sustainability Premia aims to participate in rising markets, benefitting from long-term appreciation of ESG related equities and outperform in falling markets by providing downside protection against highly volatile markets.

By investing in a long-short strategy, the Fund seeks to be market neutral with low correlation to traditional asset classes. The layer of protection also allows the strategy to limit volatility.

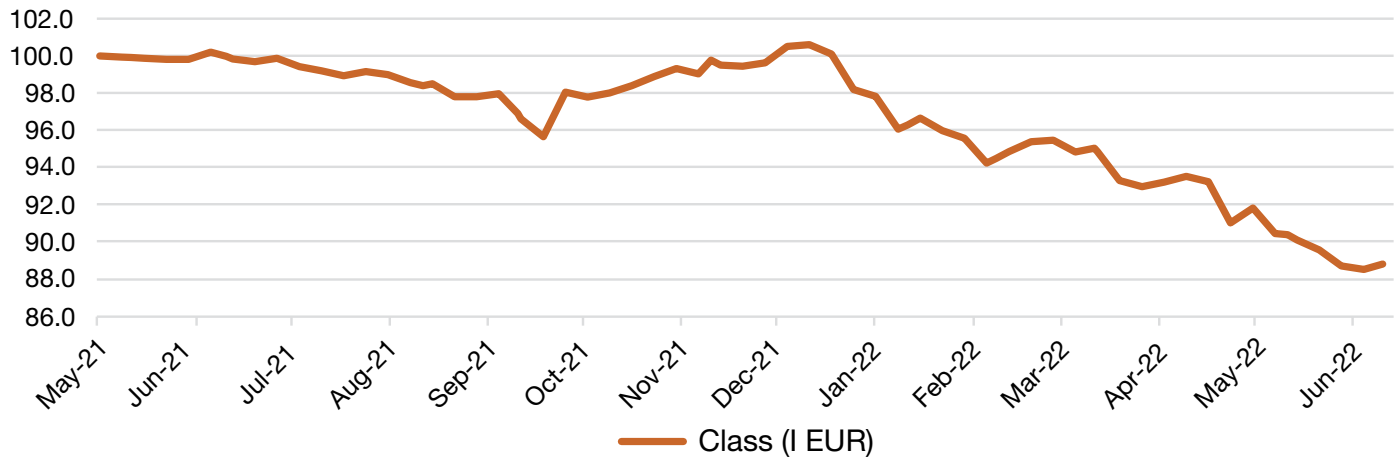
The European market, which is considered the most mature sustainable universe is the ideal vehicle to implement our strategy.

Price Data	
I Class - EUR	8.88
I Class - USD	7.84
I Class - MUR	8.75
R Class - MUR	8.58

Fund Facts	
ISIN	-
Bloomberg Ticker	-
Investment Manager	AXYS Investment Partners
Inception Date	21 May 2021
Benchmark	EONIA Index
Management Fee - R	1.0%
Management Fee - I	0.5%
Entry Fee	Up to a maximum of 2%
Exit Fee	Up to a maximum of 2%
Performance Fee - R	20% of Positive Perf above its HWM
Performance Fee - I	15% of Positive Perf above its HWM
Minimum Investment	R: EUR1,000 or equiv. I: EUR100,000 or equiv.
Liquidity	Weekly
Sub/Red Cut-off	Friday 11:00am MRU Time

Key Figures - as of end of month	
Asset Under Management (EUR)	460,191
Number of Holdings (ex. Cash)	20
Beta	-
Volatility	-
Sharpe Ratio	-
Sortino Ratio	-
Largest Upside (weekly)	2.75%
Largest Drawdown (weekly)	-3.66%
No of upside returns (weekly)	21
No of downside returns (weekly)	40

Fund Performance



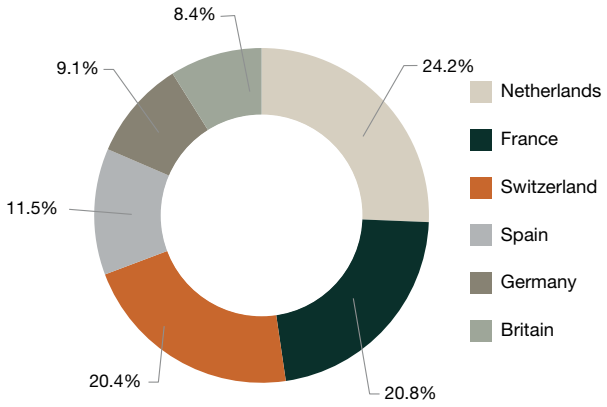
Performance as a 30 June 2022

	1 Month	3 Months	YTD	1 Year	Since Inception
Class I EUR	-1.75%	-6.59%	-11.77%	-11.21%	-11.22%

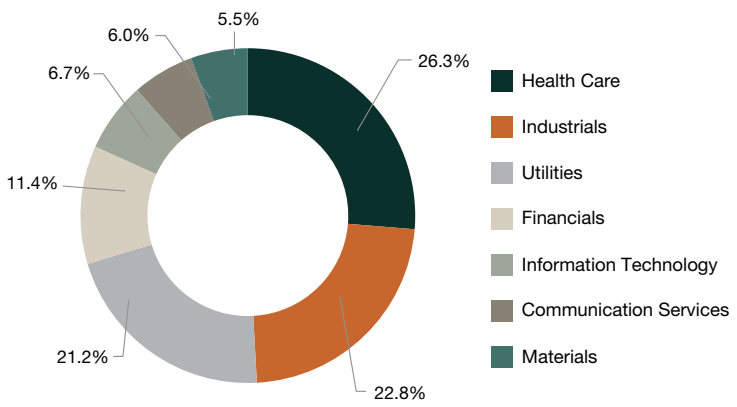
Market Review

Over the month, the European ESG Stocks as measured by the EURO STOXX 50 ESG Index TR (EUR) was down by 10.09% underperforming the EURO STOXX 50 Index TR (EUR) by 11bps. Top performing countries in the ESG space were Finland and Belgium while top performing sectors were Real Estate and Communication Services sectors. Market sentiment on European ESG stocks has been weak across the board, our indicator based on investor flows reveals a net outflows of approx. EUR191M last month on the asset class. At the end of last month and since the last expiry, 96% of AXIOM Sustainability Premia investment has been profitable. At the country level, top contributors were Netherlands and Switzerland while main detractors were Spain and France. At the sector level, Health Care and Industrials contributed positively to the overall performance while Information Technology and Financials contributed negatively. Top performing underlying stocks such as Sonova Holding AG a Swiss-based leading hearing care solutions company helped the fund performance while NN Group NV a Dutch-based insurance and investment management company declined during the month and was one of the main detractors.

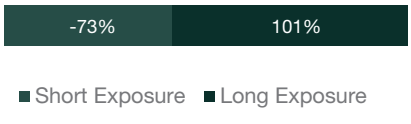
Geographical Split



Sector Split



Exposure



Top 5 Long Positions

QIAGEN NV	6.7%
Sonova Holding AG	6.5%
Publicis Groupe SA	6.0%
Wolters Kluwer NV	6.0%
Randstad NV	5.9%

AXIOM Yield Fund

30 June 2022

Fund Objective

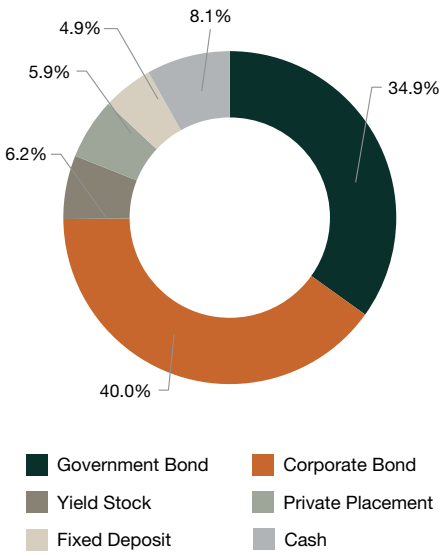
AXIOM Yield Fund was set up with the objective of providing investors with regular income and aims to outperform the average savings rate plus a premium by maximizing risk adjusted returns.

Fund Manager Comments

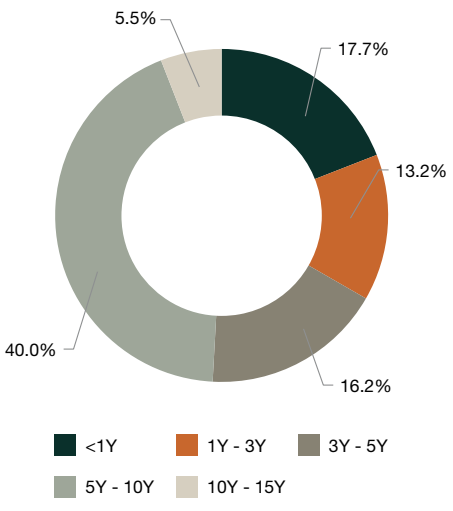
The Fund was up 0.83% during the month while the benchmark returned 0.20%. Across the board, in June, the weighted average yield on Treasury bills and Government of Mauritius Bonds went up. The weighted average yield on the 3-months, 6-months and 1-year Treasury Bills had a weighted average yield standing at 1.00%, 1.08% and 1.28% respectively up by 25bps, 22bps and 23bps compared to the auction held in May. The last 3-year Government of Mauritius Bond had a weighted average yield standing at 2.81% up by 22bps compared to the auction held in May. The last 5-year Government of Mauritius Bond had a weighted average yield standing at 3.22% up by 12bps compared to the auction held in May. The last 20-year Government of Mauritius Bond had a weighted average yield standing at 5.31% up by 70bps compared to the auction held in February.

Total AUM	MUR 316.9M
NAV (Class R)	11.44
Currency	MUR
Inception Date	23 November 2017
Minimum Investment	MUR 50,000
Divident Frequency	Semi Annually (Oct 1st & April 1st)
Dividend Yield	3.46%
Total Expense Ratio	1.30%
Benchmark	Average Savings Rate +2.0%
Entry Fee/Exit Fee	Up to 2%
Liquidity Period	Weekly

Asset Class

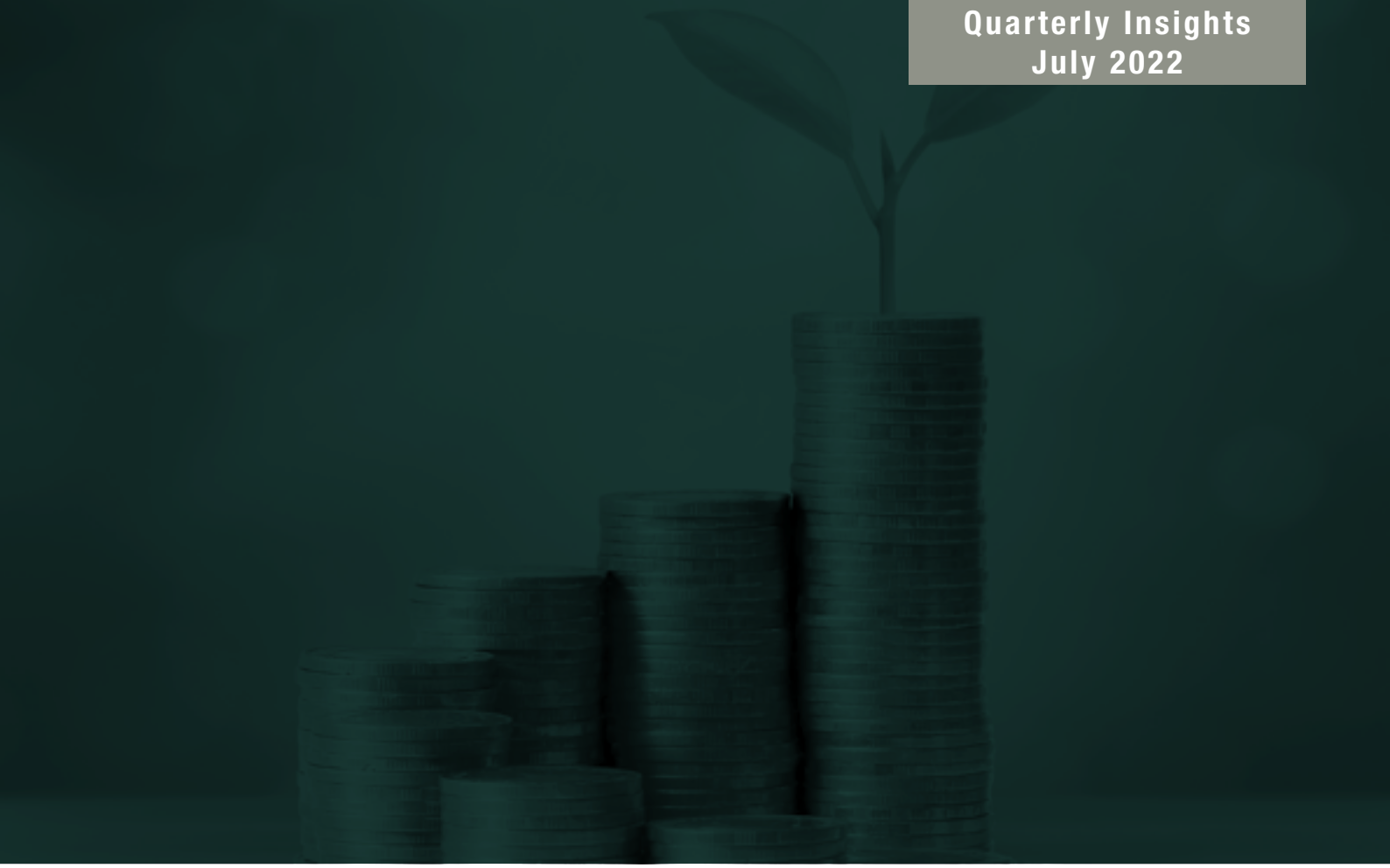


Duration Breakdown

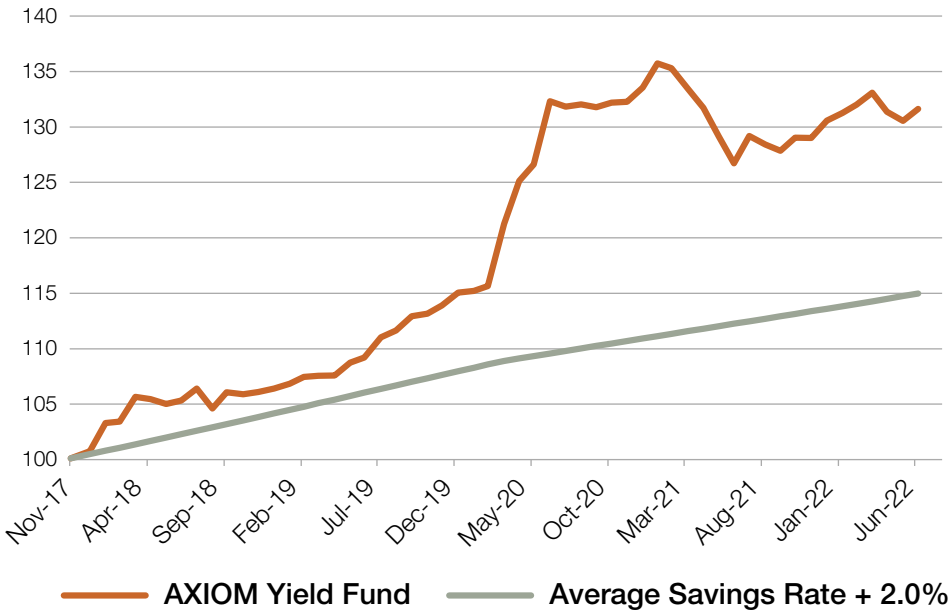


Portfolio Metrics

Average Duration	4.23
Average Maturity	5.06



Fund Performance



Line graph & Performance statistics assume reinvested dividends

Performance as at 30 June 2022

	AXIOM YIELD FUND	Avg. Savings Rate +2.0%
1 Month's Return	0.83%	0.20%
3 Month's Return	1.10%	0.62%
YTD	0.82%	1.21%
12 Month's Return	-0.26%	2.41%
Return Since Inception	31.68%	14.94%
Annualised Return Since Inception	6.16%	3.07%

	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	YEAR	Avg SR +2.0%
2017	-	-	-	-	-	-	-	-	-	-	-	0.64%	0.64%	0.38%
2018	2.55%	0.11%	2.19%	-0.21%	-0.42%	0.29%	1.03%	-1.68%	1.39%	-0.18%	0.21%	0.29%	5.65%	3.67%
2019	0.39%	0.59%	0.11%	0.02%	1.09%	0.41%	1.70%	0.54%	1.16%	0.20%	0.68%	1.01%	8.16%	3.68%
2020	0.15%	0.37%	4.88%	3.22%	1.20%	4.52%	-0.38%	0.16%	-0.19%	0.30%	0.05%	0.98%	16.16%	2.76%
2021	1.64%	-0.31%	-1.40%	-1.28%	-1.98%	-1.88%	1.95%	-0.59%	-0.45%	0.93%	0.00%	1.21%	-2.24%	2.43%
2022	0.53%	0.57%	0.82%	-1.30%	-0.62%	-0.83%							0.82%	1.21%

Dynamic Global Equity (Class I - USD)

30 June 2022

Underlying Fund Investment Objective

Dynamic Global Equity Fund is a feeder fund which invests directly in Fundsmith Equity Fund. The aim of the underlying fund is to provide long-term growth by investing in equities on a global basis and adopting a specific investment philosophy. The underlying fund is generally comprised of 20 to 30 stocks. It is not expected to invest in derivatives and is not expected to hedge any currency exposure.

Underlying Fund Manager Philosophy

The philosophy of the underlying fund manager is to invest in equities which are of high quality and difficult to replicate. The company selects equities with a perceived high degree of certainty of growth and businesses which are resilient to change. It also selects businesses whose valuation is considered to be attractive.

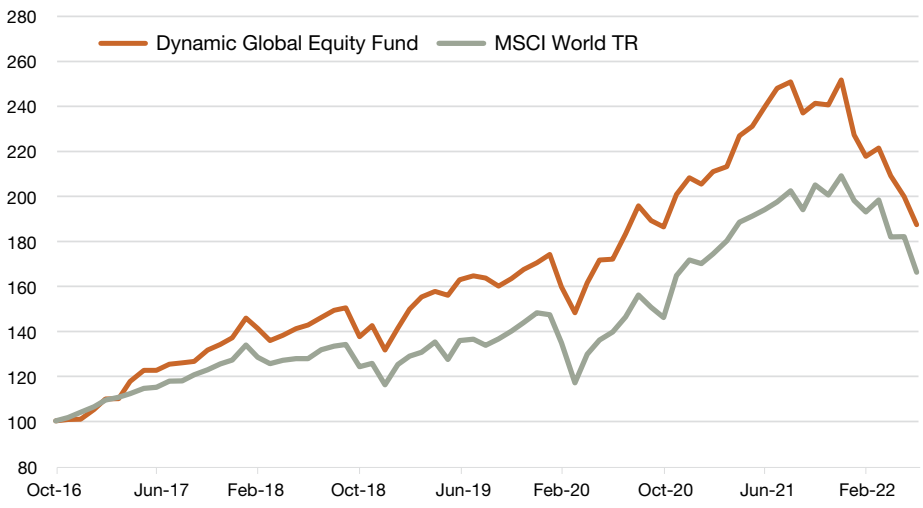
Underlying Portfolio Comments

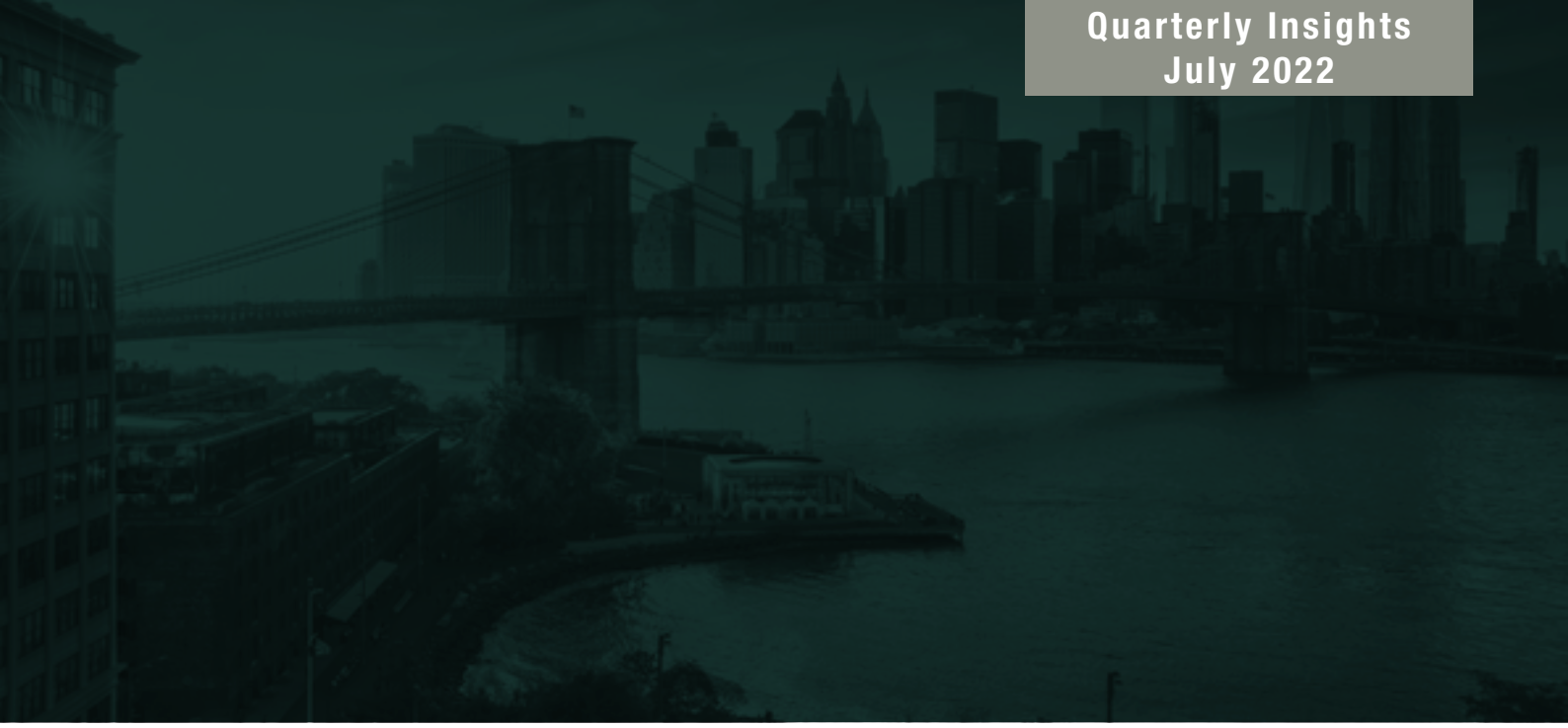
The underlying fund made no outright sales or purchases of holdings in last month. The top 5 contributors in last month were Estée Lauder, Brown Forman, Church & Dwight, Novo Nordisk and Waters. The top 5 detractors were Stryker, Meta Platforms, Paypal, Amadeus and IDEXX.

Performance as at 30 June 2022

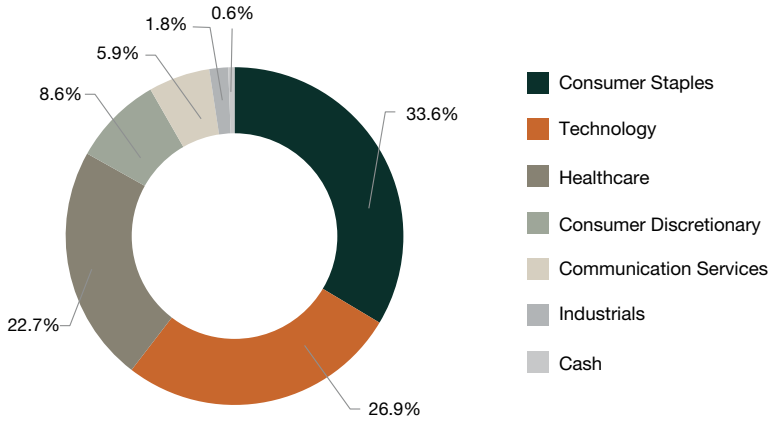
	Dynamic Global Equity	MSCI World TR
1 Month's Return	-6.27%	-8.66%
3 Month's Return	-15.44%	-16.19%
YTD	-25.62%	-20.51%
12 Month's Return	-21.85%	-14.34%
Return Since Inception	87.38%	66.30%
Annualised Return Since Inception	11.72%	9.39%

Underlying Fund Performance





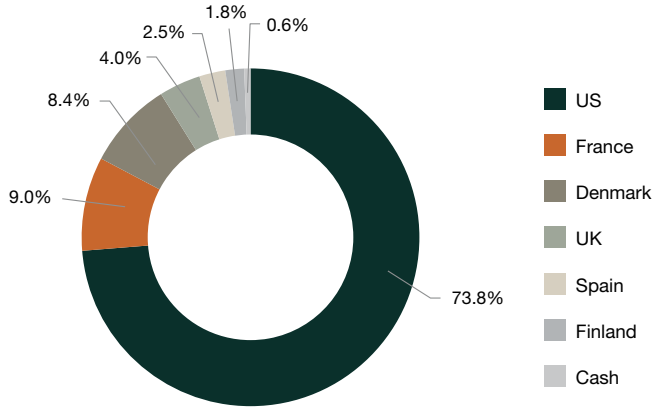
Sector Split



Key Facts

FUND Total AUM	USD 94.6mn
NAV (Class I)	40.92
Currency	USD
Inception Date (Dynamic Global Equity Fund - Class I)	November 4, 2016
Min. Investment (Lump Sum)	USD 1,000,000
Total Expense Ration	1.15%
Underlying Fund Manager	Terry Smith
Underlying Fund Morningstar Rating	Gold

Geographical Split



	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	YEAR	MSCI
2016											0.65%	0.07%	0.71%	3.87%
2017	4.37%	4.43%	0.15%	6.95%	4.27%	-0.10%	2.32%	0.42%	0.52%	3.98%	1.88%	2.22%	36.01%	22.40%
2018	6.43%	-3.14%	-3.83%	1.71%	2.16%	1.20%	2.28%	2.23%	0.74%	-8.59%	3.60%	-7.59%	-3.92%	-8.71%
2019	7.45%	5.96%	3.58%	1.65%	-1.16%	4.49%	1.04%	-0.56%	-2.27%	2.15%	2.49%	1.78%	29.54%	27.67%
2020	2.18%	-8.31%	-7.20%	8.99%	6.29%	0.19%	6.55%	6.82%	-3.32%	-1.52%	7.76%	3.69%	22.19%	15.90%
2021	-1.32%	2.71%	1.01%	6.49%	1.82%	3.70%	3.50%	1.15%	-5.49%	1.80%	-0.27%	4.60%	20.94%	21.82%
2022	-9.73%	-4.21%	1.73%	-5.60%	-4.43%	-6.27%							-25.62%	-25.62%

Note: Dynamic Global Equity performance as from inception date of 04-November-2016

AXIOM Equity Fund (Class I - MUR)

30 June 2022

Fund Objective

The investment objective of the fund is to achieve long term growth through a blended investment strategy consisting of both growth and value stocks. All dividends are reinvested given their importance in driving long-term portfolio growth. The fund invests only in equities listed on the Stock Exchange of Mauritius.

Fund Manager Comments

The Fund was down 7.31% during the month while the SEMTRI had a negative performance of 2.01%. SEMTRI's performance was dragged by Financials (Fincorp Ltd -10.45%, P.O.L.I.C.Y Ltd -8.60% abd PAD Ltd -6.71%) and Consumer Discretionary (Lux Resorts Ltd -11.64%).

Annual inflation stood at 10.7% YoY in May as compared to 11.0% YoY in April.

GDP increased 8.9% YoY during Q1'22 compared to a contraction of 7.6% in the same period in 2021.

Tourist arrivals stood at 313,548 from Jan-May 2022, representing 56.2% of 2019 levels during the same period.

The Fund is not exposed to hotel counters to avoid uncertainty that prevails in the sector due to the pandemic and ongoing geopolitical tensions in Europe.

The Fund's investments have strong fundamentals with the actual portfolio expected to benefit strongly from an improvement in market conditions as business activities pick up.

Total AUM	Rs. 36.5m
NAV (Class R)	11.42
NAV (Class I)	12.07
Initial NAV	11.07
Currency	MUR
Inception Date	03 February 2017
Total Annual fund Operating Expense Ratio	1.25%
Min. Investment (Lump Sum)	MUR 10,000,000
Fund Manager	AXYS Investment Partners Ltd
Entry / Exit Fee	Up to 2%

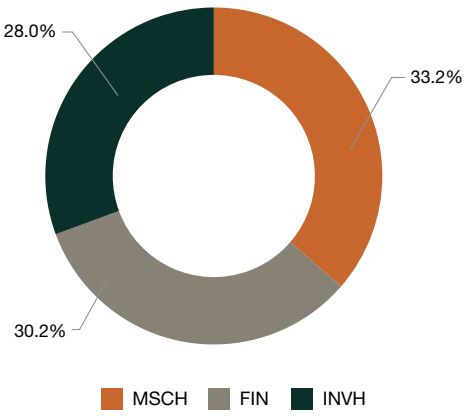
Gainers

▲ 1.3% IBL

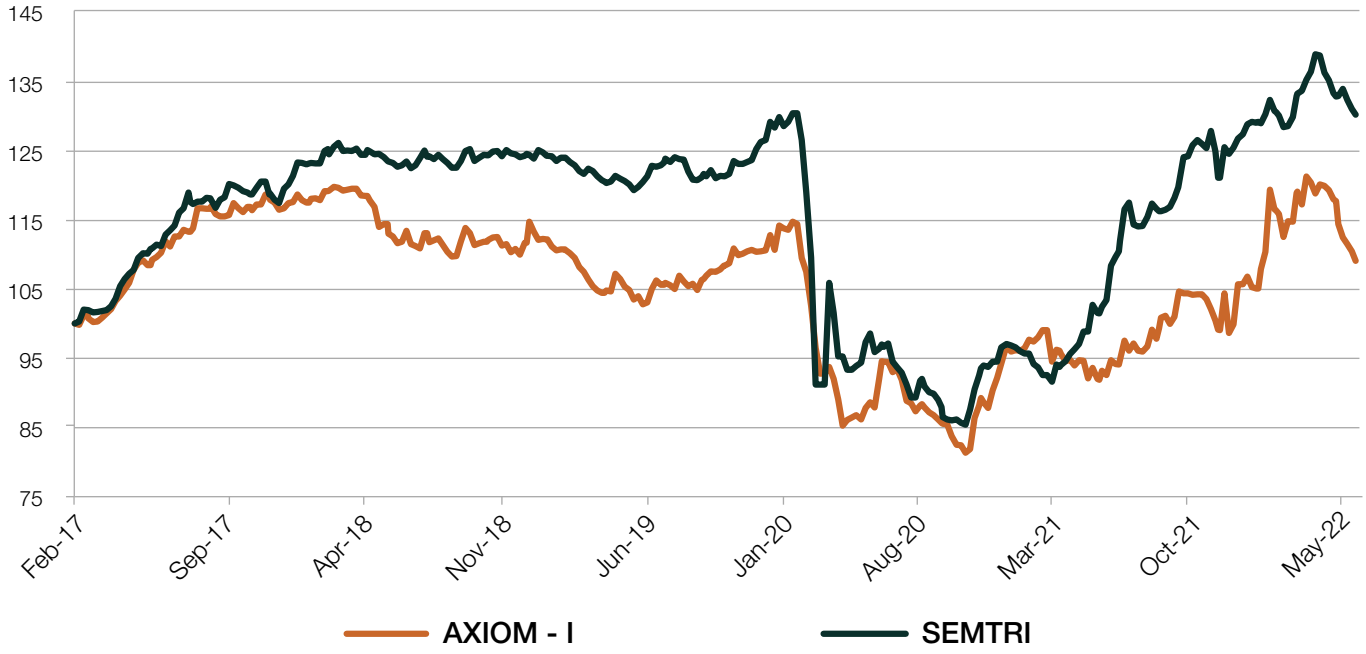
Laggers

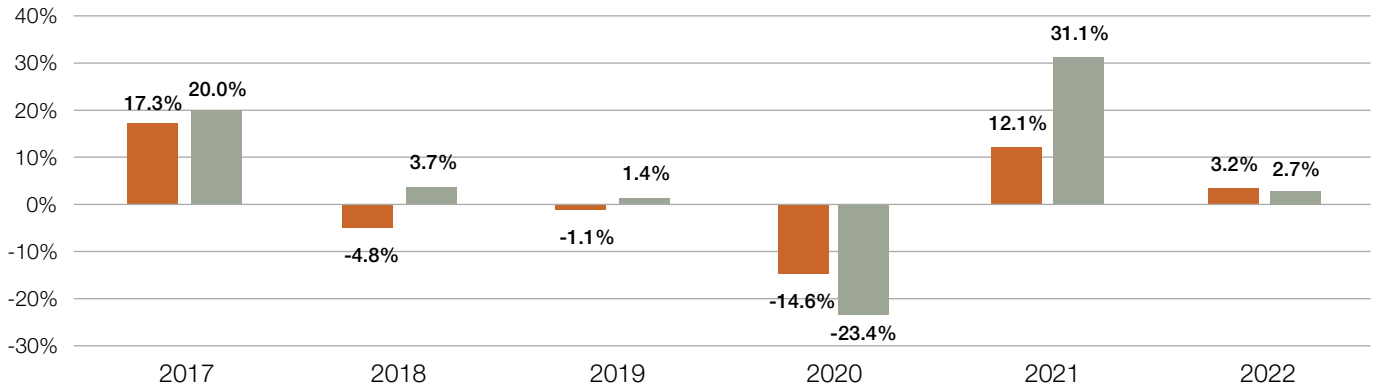
▼	▼	▼
-16.9%	-5.2%	-4.1%
UTIN	NITL	ENL

Sector Allocation



Fund Performance (Class I)





Performance (Class I) at 30 June 2022

	AXIOM-I	SEMTRI
1 Month's Return	-7.31%	-2.01%
3 Month's Return	-8.22%	-2.05%
YTD	3.23%	2.68%
12 Month's Return	15.84%	17.79%
Return Since Inception	9.01%	30.01%
Annualised Return Since Inception	1.61%	4.97%

Key Figures - as at the end of month

Beta	0.58	Tracking Error	3.39%
Volatility	13.29%	Sharpe Ratio	0.12
Information Ratio	-0.99		

Product Factsheets





US HIGH DIVIDEND LOW VOL FUN

July 2022

Product Description

The Fund is based on the S&P 500 Low Volatility High Dividend Index, which is composed of 50 securities traded on the S&P 500 Index that have historically provided high dividend yields and experienced low volatility. The Fund and Index are rebalanced and reconstituted twice per year in January and July. The dividends received are reinvested in the Fund and contribute to its overall performance.

Highlights	
Currency	USD
Current AUM	USD 3.84 Billion
Inception Date	October 2012
Minimum Ticket Size	USD 10,000
Entry/Exit Fees	3%
Trading Frequency	Daily

Target Audience

This product is for investors who wish to diversify their investments and benefit from:

- Large Value stocks selected from US listed companies for their inherent quality, their track record of high dividend payments and their low volatility.
- Foregoing the more extreme performance of some growth stocks in exchange for more stability and less volatility.
- Thematic instrument with daily liquidity denominated in USD.

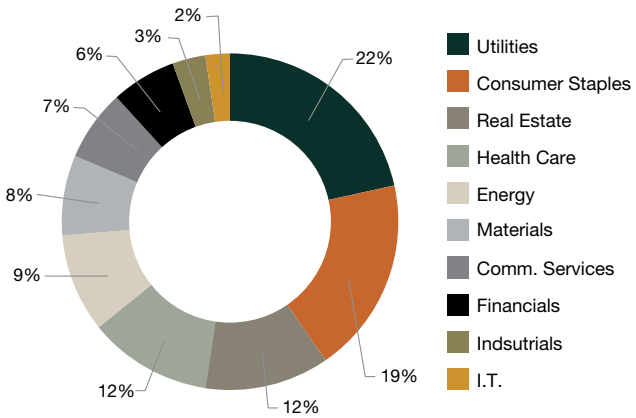
Performance Figures	
Year-to-Date	-0.68%
Annualised return last 3 years	6.09%
Annualised return last 5 years	6.05%
Annualised return since inception	10.03%
Annualised Volatity (9.5 years)	20.00%



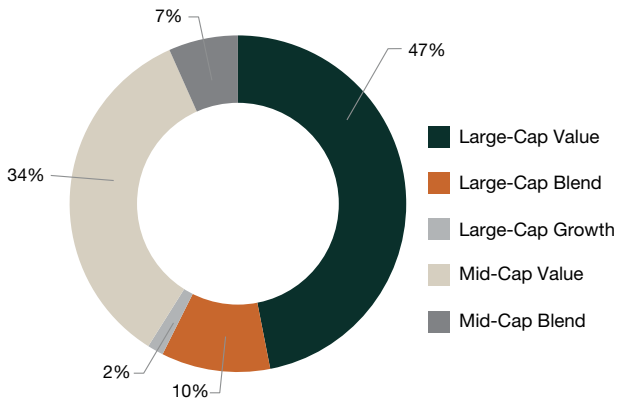
Performance of Fund



Sector Allocation



Market Cap Allocation





INDIAN SUBCONTINENT FUND

July 2022

Objective & Strategy of the Fund

The Fund aims to achieve long term capital appreciation by investing primarily (at least 70% of its Net Asset Value in securities or equity) in a diversified portfolio of equity related securities issued by companies of the Indian subcontinent, which includes India, Pakistan, Sri Lanka and Bangladesh. The Fund concentrates on securities that are listed, traded or dealt in on regulated markets in the Indian subcontinent, and offshore instruments issued by companies established or operating, or having significant interests in the Indian subcontinent and listed on other regulated markets.

Context

In the current difficult global context, the Indian economy is booming - it is expected to register one of the strongest economic growth figure internationally for 2022, at 7.5% and 7.1% in 2023. Economic momentum has only slowed marginally in India so far, and it is expected to remain one of the most resilient economies within the emerging market segment. AXYS therefore proposes the Indian Subcontinent Fund which invests in equity and equity-related securities of listed companies in India and the neighbouring countries. The Fund has outperformed the MSCI Emerging Markets Index by 7.0% over the last six months.

Target Audience

This product is for investors who understand that growth may have stalled in most developed economies at the moment, and would hence like to take a long term position on one of the most dynamic economies globally during the current economic slowdown, with a view on selected high quality stocks based in the Indian subcontinent region.

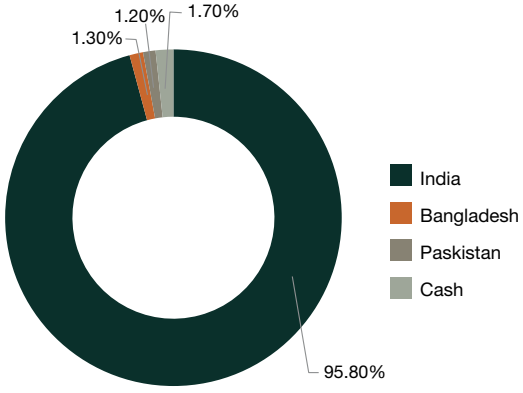
Highlights	
Fund Size	USD 295.8 Million
Number of Holdings	34
Minimum Ticket Size	USD 10,00 0
Currency	USD
Entry Fees	3%
Liquidity Daily	Daily



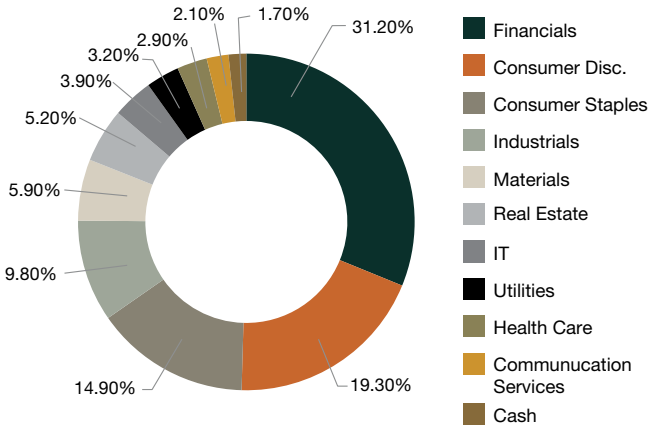
Cumulative Performance (Class I - USD)	Fund	Benchmark
3 Months	-2.8%	-4.0%
YTD	-9.6%	-9.1%
1 Year	-2.1%	1.4%
3 Years	18.9%	32.1%
5 Years	32.8%	51.0%
10 Years	236.6%	151.9%
Since Inception	1152.7%	747.5%

Calendar Yr. Performance (Class I - USD)	Fund	Benchmark
2021	21.4%	26.6%
2020	8.8%	-15.6%
2019	3.6%	7.6%
2018	-7.9%	-7.3%
2017	40.0%	38.8%

Country Breakdown



Sector Breakdown



Country & Sector Breakdown as at 30 June 2022

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